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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

AUSTRIA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JUNE 1975

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BASIC STATISTICS OF AUSTRIA

THE LAND

Area (thousand km²)	84
Agricultural area (thousand km²)	38
Exploitable forest area (thousand km²)	32

Major cities, 1.1.1974 (thousands of inhabitants) :	
Vienna	1 615
Graz	249
Linz	203
Salzburg	129
Innsbruck	115

THE PEOPLE

Population, 31.12.74 (thousands)	7 540
per km²	90
Net natural increase in population, 1973	5 000
Natural increase rate per 1 000 habitants, 1973	0.7

Net emigration, annual average 1971-1973	4 550
Total employment[1], monthly average 1974	2 656 900
of which: in industry[2]	673 200

PRODUCTION

Gross National Product, 1974 (Sch. billion)	617
Per head (US $)	4 375
Gross fixed investment, average 1972-1974 :	
per cent of GNP	29
per head (US $)	1 020

Industrial origin of GNP at market prices, 1974 (per cent) :	
Agriculture	5
Industry	34
Construction	10
Other	51

THE GOVERNMENT

Public consumption, 1974 (per cent of GNP)	15
General Government current revenue, 1973 (per cent of GNP)	36
Federal Government debt, end 1974 (per cent of Federal Government revenue)	42

Composition of Federal Parliament, October 1971 :	
Socialist Party	93
Austrian People's Party	80
Liberal Party	10
Last election : 1971	
Next election : 1975	

FOREIGN TRADE

Exports :	
Exports of goods and services, 1972-1974 (per cent of GNP) average	35
Exports, 1974 (per cent of total merchandise exports) :	
Food, tobacco, beverages	4
Raw materials and energy	11
Chemicals	9
Machinery and transport equipment	24
Other finished and semi-manufactured products	52

Imports :	
Imports of goods and services, 1972-1974 (per cent of GNP) average	35
Imports, 1974 (per cent of total merchandise imports) :	
Food, tobacco, beverages	7
Raw materials and energy	22
Chemicals	10
Machinery and transport equipment	28
Other finished and semi-manufactured products	33

THE CURRENCY

Monetary unit : Schilling

Currency units per US dollar : 18.69[3]

1 Wage and salary earners.
2 Including administrative personnel.
3 1974 average.

NOTE An international comparison of certain basic statistics is given in an annex table.

OECD Economic Surveys

AUSTRIA

English Version

ERRATA

Page 21, line 1 :

With net payments to abroad increasing only little (Sch. 200 million), but net additions to reserves exceeding original appropriations by Sch. 4.4 billion, the internal income or demand effective deficit showed a much smaller increase (see last line of Table 7).

Page 34, line 8 :

But even in the unlikely event of a considerably higher current deficit, Austria's good standing as an international borrower and relatively ample availability of international liquidity would not suggest any major financing difficulties.

Page 46, Table D, final column :

	1975
	I
CREDIT INSTITUTIONS (Sch. bill.):	
Credits to domestic non-banks	
Short-term	
Medium-term (1 to 5 years)	
Long-term	
Deposits from domestic non-banks	331.9
Sight	61.1
Time	31.7
Savings	239.1
Holdings of domestic Treasury bills	20.0
Holdings of other domestic securities	54.3
Foreign assets	71.7
Foreign liabilities	73.0

OECD ECONOMIC SURVEYS

AUSTRIA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
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*
**

The annual review of Austria
by the OECD Economic and Development Review Committee
took place on 5th June, 1975.
The present Survey has been updated subsequently.

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INTRODUCTION

Influenced by the world-wide recession, Austria's longest and strongest post-war boom came to an end about a year ago[1]. Since then export demand and output have been flat or declining. Nevertheless, registered unemployment has until recently only marginally exceeded earlier boom levels because the introduction of a shorter work week in January 1975 has served to cushion the impact of slackening activity on the level of employment; in addition, overtime work has fallen substantially, and there has been a significant return flow of foreign workers. Following the marked upward shift in the rate of inflation in the wake of the rise in oil and other international raw material prices, the rate of domestic inflation has remained relatively stable and well below the OECD average. Balance of payments wise Austria has also absorbed the external price shocks remarkably well. Despite a higher degree of domestic resource utilisation than in most trading partner countries and a rather disappointing tourist season, the current balance of payments deteriorated much less between 1973 and 1974 than the rise in the "oil import bill"; and allowing for unrecorded or unspecified current receipts, the basic balance moved back into surplus. The apparent favourable competitive position of Austria in foreign goods and financial markets has also been reflected in a further appreciation of the Schilling and rising foreign exchange reserves.

Part I of the present Survey outlines the main features of the Austrian economy during the present most serious world recession since the great depression of the thirties. Part II reviews the policy stance during the last stage of the recent boom and the expansionary policy shift since the summer of 1974 which culminated in an investment-promoting reflationary package last April. Part III presents the general economic outlook for the year 1975 as a whole, discussing in particular the prospects for a new export and business investment upswing during the second half of the year. Part IV summarises the major conclusions and considers some implications for economic policy.

I RECENT TRENDS AND DEVELOPMENTS

The past eighteen months have been one of the most difficult and challenging periods for the OECD area in post-war history. Inflation has been more severe and changes in the structure of demand and levels of output more abrupt in most Member countries thand during previous cycles. Despite increased effectiveness of national monetary policies due to the transition to a system of " managed floating " of exchange rates the overall leverage of domestic economic policy has probably decreased relative to the importance of the international transmission mechanism of demand fluctuations. International trends and developments in output and prices have thus gained an ever increasing importance for Austria's domestic developments and therefore deserve some special attention.

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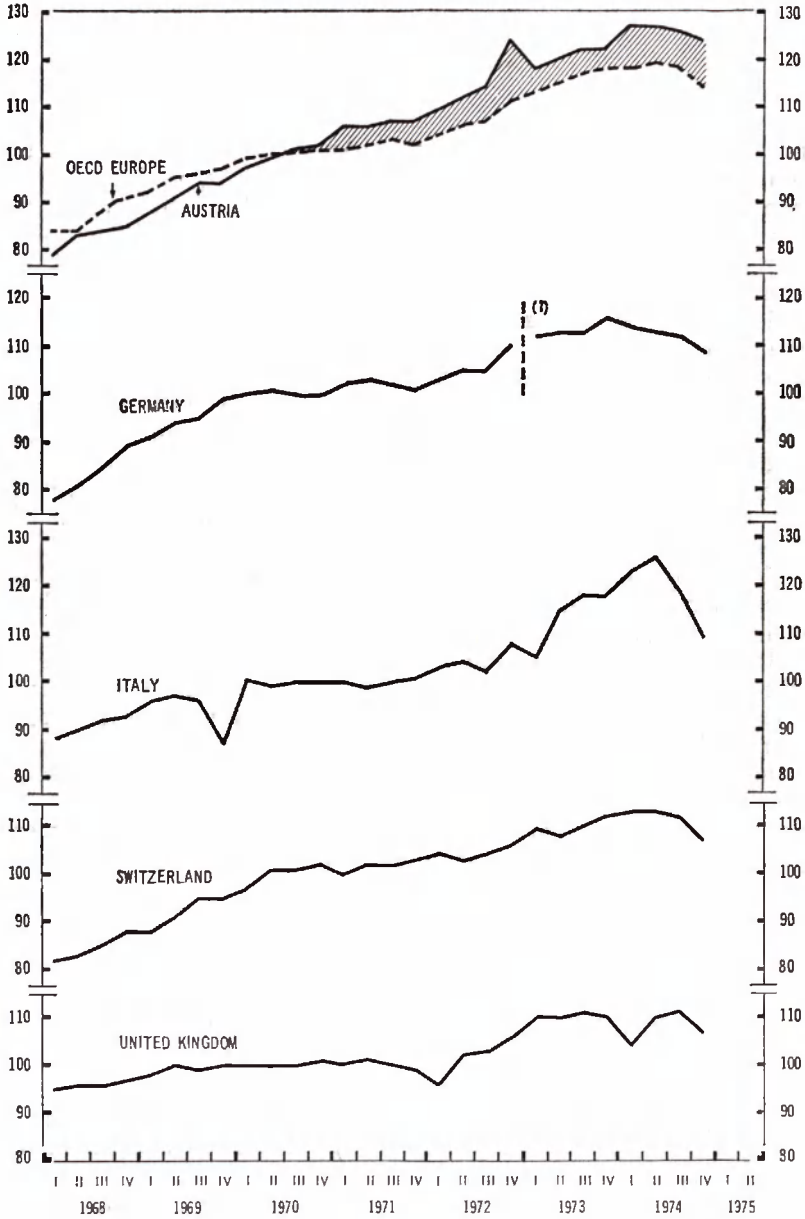
1 From the second quarter of 1968 until the first quarter of 1974 the industrial production index, seasonally adjusted, showed a virtually uninterrupted rise at or above the previous trend rate.

Diagram 1 **Cyclical Position of the Austrian Economy in International Comparison**
(*a*) Industrial Production (seasonally adjusted, 1970 = 100)

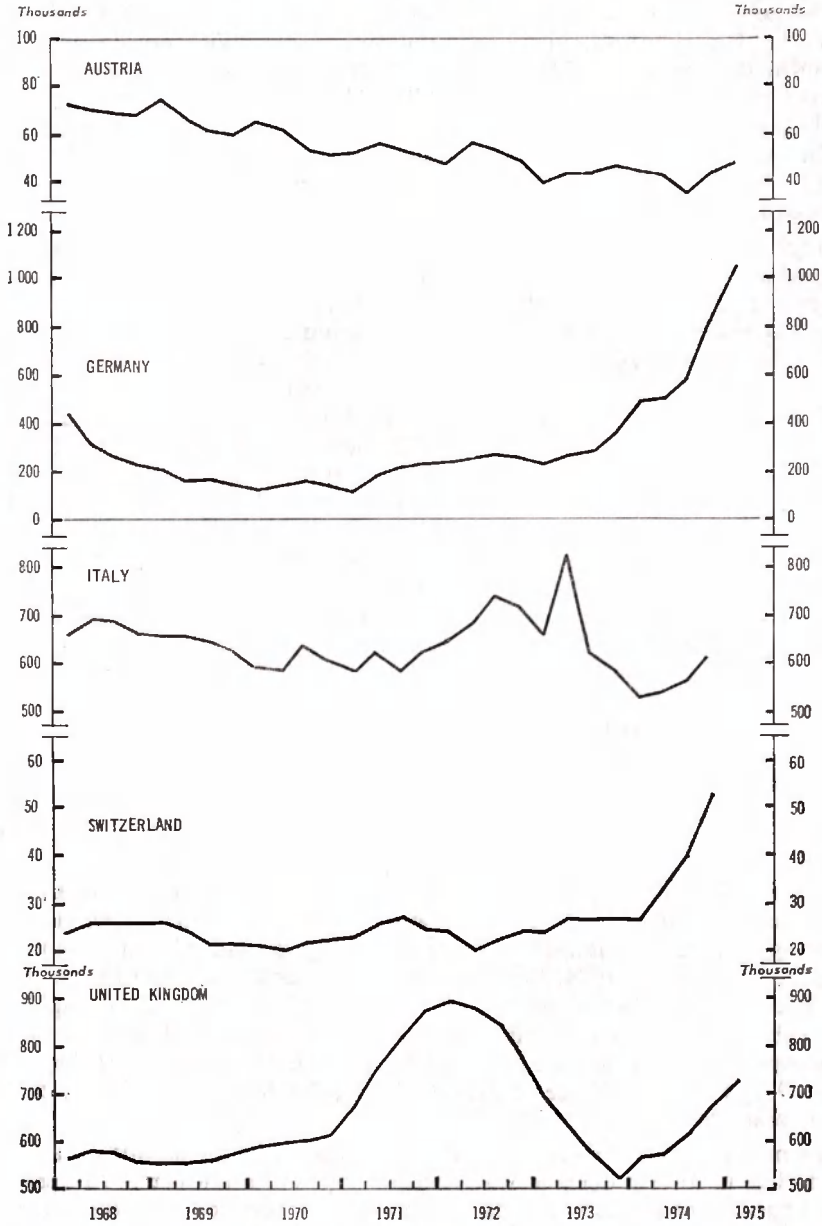


1 Change in weighting pattern starting 1973 I.
Source: OECD.

(a) *The international economic environment*

During this period the OECD area as a whole has been sliding into the most prolonged and severe recession in post-war history. After a brief period of hesitancy

Diagram 1 **(contd.) Cyclical Position of the Austrian Economy in International Comparison**
(*b*) Unemployment (seasonally adjusted)



NOTE The figures for Switzerland are the reciprocal of vacancies, times 100. (There is no official series on unemployment for Switzerland).

Source: OECD Secretariat.

and uncertainty following the oil crisis in the autumn of 1973, industrial production as well as employment have declined rapidly in most Member countries (Diagram 1). Despite the reversal of the earlier tight policy stance gradually effected in virtually all countries since the latter part of 1974, there are no unambiguous signs that the

bottom of the present international recession has yet been reached. In particular the recovery in those countries which were expected to lead the international upswing because of their strong external position and/or relative price stability (e.g. the U.S.A., Japan and Germany) has not yet set in. With output and demand faltering in the course of 1974, international trade also slowed down and actually declined (in volume terms) after the middle of last year, the first prolonged decline in world trade in the post-war period. Buoyant " counter-cyclical " import demand from OPEC and Eastern European countries only partly offset the shrinking trade volumes of intra OECD trade, and at the time of writing the contraction of world trade is still continuing.

Judging by previous experience, a recession of the present magnitude should at least have caused inflation to stop. Not so this time. The recession year 1974, with a marginal decline in GDP for the OECD area as a whole, registered a record average inflation rate of some 14 per cent (Diagram 2). Though the speed of price increases has been decelerating since late 1974, it is still at levels vastly exceeding the average of the post-war period. A salient feature of inflation over the past two years was the large increase of raw material prices, itself largely induced by the simultaneous upsurge in demand in OECD countries during 1972/73. The explosion of petroleum prices in late 1973 was the most spectacular but by no means the only event causing a deterioration in the terms of trade for the OECD area. Unwillingness of domestic income recipients to accept the implied real income loss led to increased income demands and spiralling domestic costs and prices. While the slackening world trade has been accompanied by weakening commodity prices since the middle of last year, domestic income claims—wages in particular—have proved to be rather sticky in most countries[2].

(b) *Recent domestic trends*

Demand and Output

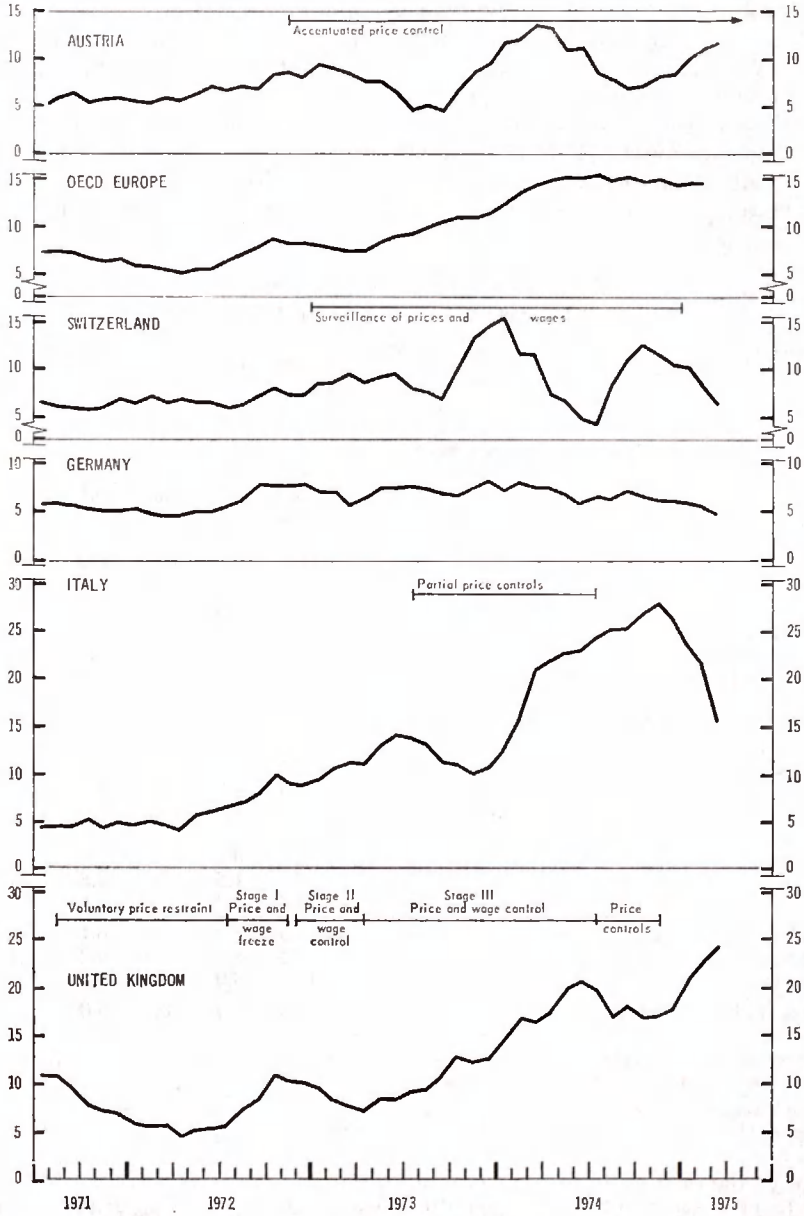
During the five year period up to 1973 Austria succeeded in largely avoiding the cyclical fluctuations of its major trading partners and experienced a prolonged period of rapid output expansion. The recession spreading in most of the OECD Member countries since early 1974 is, however, much deeper than previous post-war downswings. After maintaining a relatively strong growth of demand and output during the first half of 1974, the economy experienced a deceleration in the third and particularly the fourth quarter of last year, when the previous rapid export growth subsided and export volumes actually started to decline despite an impressive relative export performance (see further below). The decline in exports has continued into 1975, with the volume of exports during the first quarter falling below the previous year's level.

The major domestic demand components reacted to the slowdown and subsequent decline in foreign demand with a surprisingly short time lag. On a seasonally adjusted basis all domestic expenditure components except construction and Government consumption registered negative growth rates in the second half of 1974(Diagram 3)[3]. Such a quick and strong response of domestic demand to a decline in

2 Commodity prices peaked in May 1974 at levels twice as high as two years earlier. Over the next twelve months, they fell nearly as rapidly as after the Korean war. Prices of internationally traded manufactured goods, though, continued to rise at annual rates of 20 per cent.

3 The above statement as well as Diagram 3 are based on unpublished preliminary quarterly GNP figures recently revised back to 1971. It seems possible that these figures somewhat exaggerate the contraction of final domestic demand during the second half of 1974, while exaggerating involuntary inventory building during the same period.

Diagram 2 **Consumer Price Developments in Austria and Selected OECD Countries**
Percentage changes at annual rates, month on six months earlier, seasonally adjusted



Source: OECD.

exports cannot be fully explained by the standard multiplier mechanism. In fact, the growth of selected domestic demand components (notably construction but to some extent other fixed investment as well) had already started to slow down in 1973 in response to restrictive policy measures implemented in late 1972[4]. The

4 Cf. Last year's OECD Survey of Austria where the 1972/1973 events are discussed in more detail.

tighter policy stance was designed to prevent an overheating of the economy which had increasingly been running above trend since 1971. Furthermore it is possible that the rapidly deteriorating employment situation in the surrounding countries as well as the psychological impact of the oil crisis has led to a major change in consumers' behaviour and reduced spending despite continued expansion of real disposable income[5]. Available figures on household savings as well as retail sales point to continuation of these tendencies into 1975. Turning to fixed investment, the apparent weakness in 1974 seems a plausible response to reduced export volumes and generally cautious expectations. In fact, the decline in the growth rate of fixed investment from 2.8 to 1.2 per cent between 1973 and 1974 seems modest in

Table 1 **Recent Trends in Output and Demand**
Percentage volume change over same period of preceding year

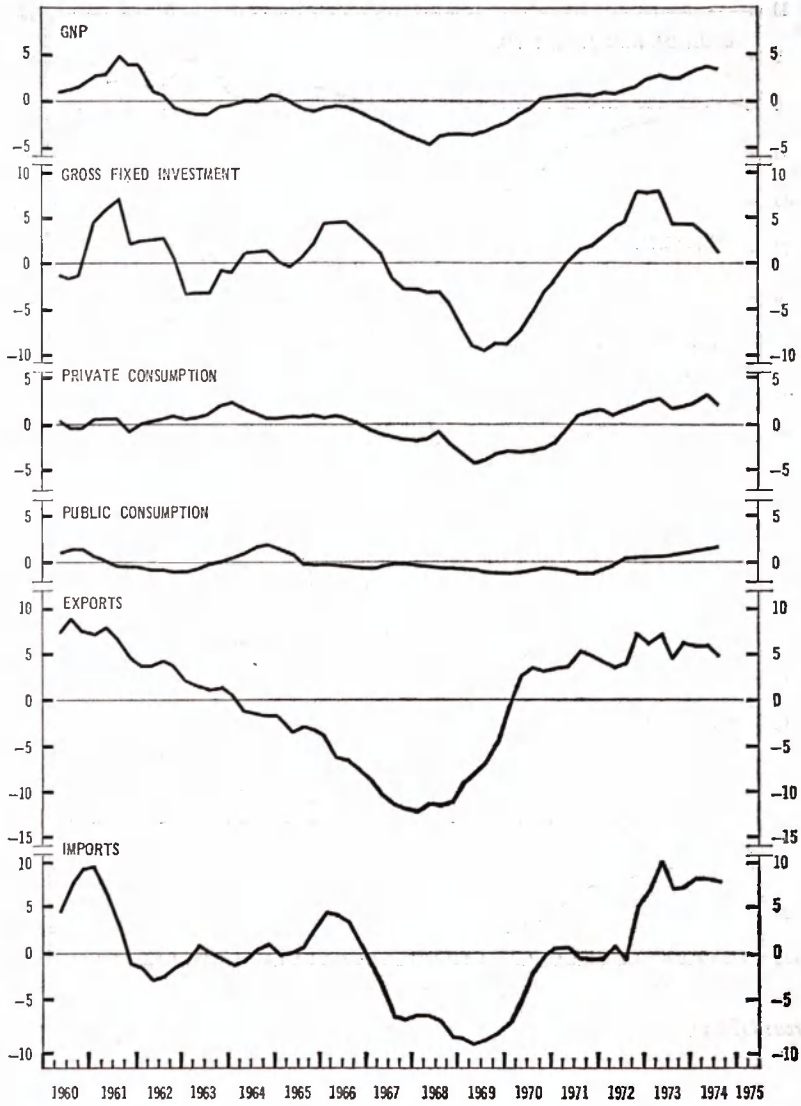
	1973	1974	1974			
	annual average		Q.1	Q.2	Q.3	Q.4
A Gross National Product by Sector of Origin						
Industry	6.4	5.4	8.0	7.5	5.7	0.9
Crafts	5.4	4.0	6.1	5.1	4.1	1.1
Construction	7.7	1.8	3.0	3.0	1.0	1.0
Utilities	7.6	8.3	8.9	5.7	15.4	4.4
Transport	9.2	6.4	12.5	6.0	6.2	1.4
Commerce	4.3	5.3	13.6	4.8	6.1	–1.3
Public Administration	2.0	4.0	4.2	4.1	4.0	3.8
Other Services	5.1	2.6	4.1	0.4	1.9	4.2
Agriculture	5.3	3.0	10.8	5.7	3.8	–2.9
Gross National Product	5.8	4.4	8.0	5.0	4.5	1.0
B Gross National Product By Expenditure Components						
Private Consumption	4.1	3.7	8.5	3.5	3.5	0.4
Public Consumption	3.8	4.0	4.2	4.1	4.0	3.8
Gross Fixed Investment	2.8	1.2	6.4	3.0	–0.5	–2.1
of which:						
equipment	–2.4	0.7	9.7	3.3	–2.5	–6.3
construction	7.1	1.5	2.7	2.8	0.7	0.8
Change in stockbuilding[1]	3.5	1.4	..	..	..	..
Total Domestic Demand	7.3	4.2	7.5	6.1	5.4	–1.0
Exports	8.3	8.6	15.4	6.2	7.1	7.0
Imports	12.4	8.0	13.4	9.1	9.5	0.8
Gross National Product	5.8	4.4	8.0	5.0	4.5	1.0

1 In per cent of previous year's GNP.
Source: Austrian Institute for Economic Research.

the light of the deterioration of economic conditions over this period. An absolute fall in total gross fixed asset formation was, however, only prevented through a considerable expansion of public investment which had been kept relatively low in 1973. As in the case of consumption, the provisional quarterly figures show a pronounced decline in fixed investment during the second half of last year (Table 1 and Diagram 3). Current indicators relating to investment activity (imports and domestic production of capital goods) or the investment climate (business surveys) do not suggest that the weak investment trend now prevailing since 1973 has been reversed.

5 A significant increase in deposit and bond interest rates may also have encouraged household savings, though there is no conclusive evidence for this.

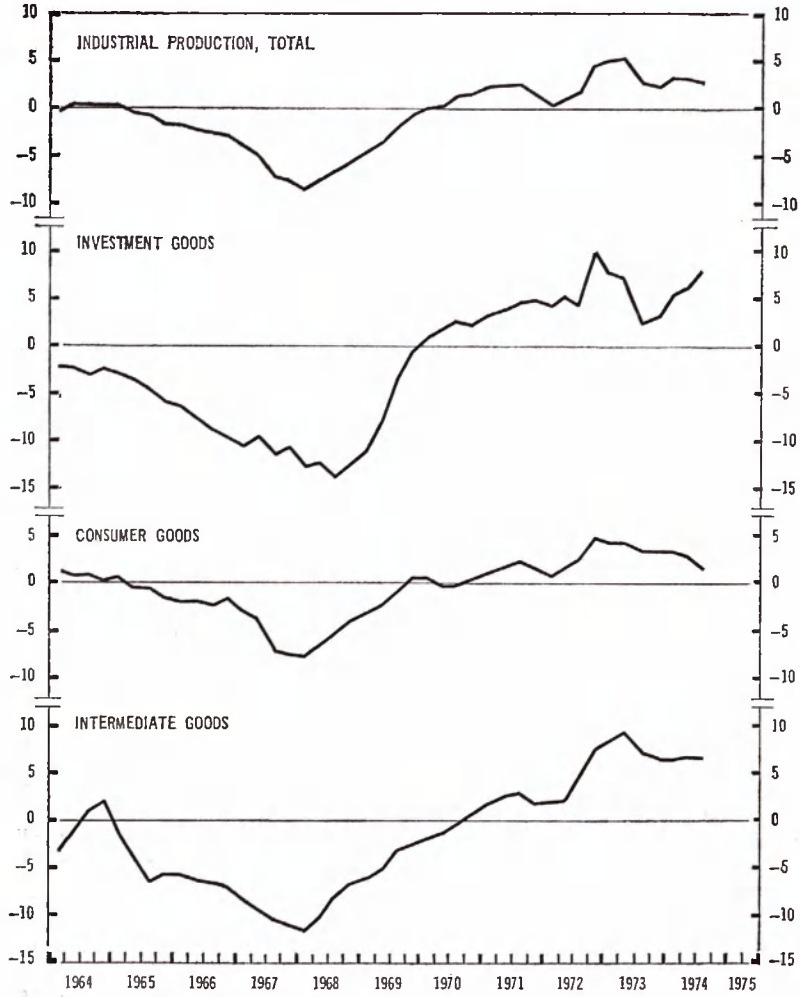
Diagram 3 **GNP and Main Expenditure Components**
Three-quarter moving averages of percentage deviations from trend, seasonally adjusted



Source: OECD.

Despite some involuntary stockbuilding and slowing imports the slack in final demand has been strongly felt on the level of output. For the first time since the take-off into the six year boom in 1968 the index of industrial production has declined for three consecutive quarters (Diagram 4). The deceleration was most pronounced for intermediate goods (where a strong decline was registered in the fourth quarter of 1974), while investment goods held up rather well, influenced by buoyant export demand from OPEC and Eastern European countries. Preliminary figures for the first quarter of 1975 point to a downward trend in line with shrinking export volumes and weak domestic demand.

Diagram 4 **Industrial Production by Major Sub-Aggregates**
Three-quarter moving average of percentage deviations from trend, seasonally adjusted



Source: OECD.

The Labour Market

Since the start of the " permanent boom " in 1968 unemployment has been falling steadily until the third quarter of last year, and the present cooling off period is so far hardly reflected in the recent labour market figures (Table 2). It was not before January 1975 that the number of registered unemployed exceeded the level of the same months a year ago. This is partly due to the time lag with which employment usually reacts to output fluctuations. It may, however, also to some extent be a consequence of a 5 per cent reduction in contractual working time becoming effective 1st January 1975, as well as of conscious attempts by both sides of industry (encouraged by the Government) to spread the burden of sluggish demand evenly among the labour force by reducing overtime and/or the introduction of short-time work whenever layoffs can at all be avoided by such a strategy. Last

but not least a reduction in the foreign labour force, for the first time since the rapidly accelerating inflow of foreign workers started in the early 1960s, helped to maintain the average unemployment rate at a low level. The number of vacancies —the most sensitive indicator of the labour market situation—has declined steadily since June 1974, and with 35 000 unfilled jobs in February 1975 reached its lowest level since January 1970.

Table 2 **Labour Market and Productivity**

	Thousands					Changes in per cent				
	1970	1971	1972	1973	1974	1970	1971	1972	1973	1974
Wage and salary earners	2 389.2	2 454.9	2 512.7	2 608.3	2 656.9	1.3	2.7	2.4	3.8	1.9
of which: male	1 506.9	1 544.8	1 576.4	1 619.3	1 637.7	1.2	2.5	2.0	2.7	1.1
female	882.3	910.1	936.3	989.0	1 019.2	1.5	3.1	2.9	3.6	3.1
Participation ratios[1]										
male	53.4	52.9	52.9	52.9	...					
female	29.8	29.5	29.5	29.4	...					
Foreign workers	109.2	148.5	186.5	226.4	218.3	32.5	36.1	25.5	21.4	–3.6
Unemployed[2]	58.4	52.0	43.2	41.3	41.3	–12.9	–11.0	–5.5	–4.4	0
Vacancies	45.3	55.9	62.0	66.1	57.6	33.6	23.5	10.9	6.6	–12.9
Unemployment ratio[3]	2.4	2.1	1.6	1.7	1.6					
Vacancies/Unemployment	0.8	1.1	1.4	1.6	1.4					
Overall productivity[4]						6.4	2.5	3.9	1.9	2.5
Productivity in industry[5]										
(*a*) per employed person						4.7	4.7	6.2	2.8	4.2
(*b*) per hours worked[6]						7.4	7.5	7.5	4.6	6.4

1 Male (female) employment divided by male (female) population.
2 As from 1972 applicants for old-age pensions are excluded from the unemployment figure.
3 Unemployment in per cent of the dependent labour force.
4 Real GNP divided by total employment.
5 Production adjusted for calendar effects; excluding electricity, based on index 1964 = 100 up to 1972, 1971 = 100 thereafter
6 Blue collar workers only, not adjusted for calendar effects.

Sources: Austrian Institute for Economic Research, Austrian Central Statistical Office.

Prices and Wages

The steady acceleration of contractual and effective wage increases since 1968 continued during the last 18 months. The index of average contractual wages rose by 13 per cent in 1974 on a year-on-year basis, and with a slightly positive wage drift effective gross income per employee went up by some 14 per cent (Table 3). The gradual decline of foreign and domestic demand starting in the middle of last year has not so far had any significant effect on wage settlements. Wage contracts

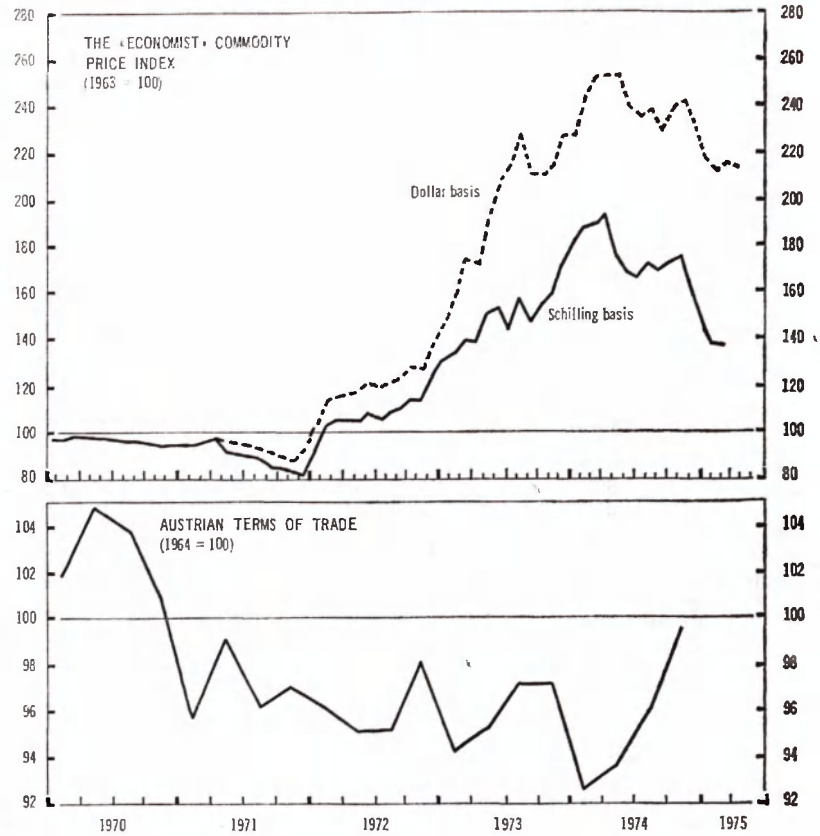
Table 3 **Wages, Incomes and Unit Labour Costs**
Percentage changes

	1969	1970	1971	1972	1973	1974
Standard rates overall	7.1	6.1	9.4	9.3	11.3	13.2
Standard rates in industry	5.8	5.2	11.4	9.2	11.0	12.8
Total compensation of employees	8.8	9.3	15.1	13.3	16.9	15.5
Earnings in industry	9.6	13.2	16.9	14.6	15.5	14.8
Income from property and entrepreneurship	11.4	17.1	3.2	12.7	6.8	17.6
Unit labour costs overall[1]	2.7	1.0	9.1	5.8	10.3	10.6
Unit labour costs in industry	–2.5	4.5	6.5	5.5	11.8	9.4

1 Compensation of employees per unit of real GNP.

Source: Austrian Institute for Economic Research.

Diagram 5 **Raw Material Price Index**



Source: OECD.

concluded during the last quarter of 1974 were of the same order of magnitude as during the previous year (15-18 per cent), with a trend towards shortening the average contract period from 14 ½ to 13 ½ months. Effective wage clauses accompanying most collective wage contracts specify guaranteed increases of around 12 ½ per cent. Computed at annual rates these wage increases amount to some 14 and 11 ½ per cent for contractual and effective wages respectively. The 12.7 per cent contract concluded in April 1975 for construction workers implies an only marginal decrease from previous year contract levels, as improvements in fringe benefits may add another 1 to 1 ½ per cent to total wage costs.

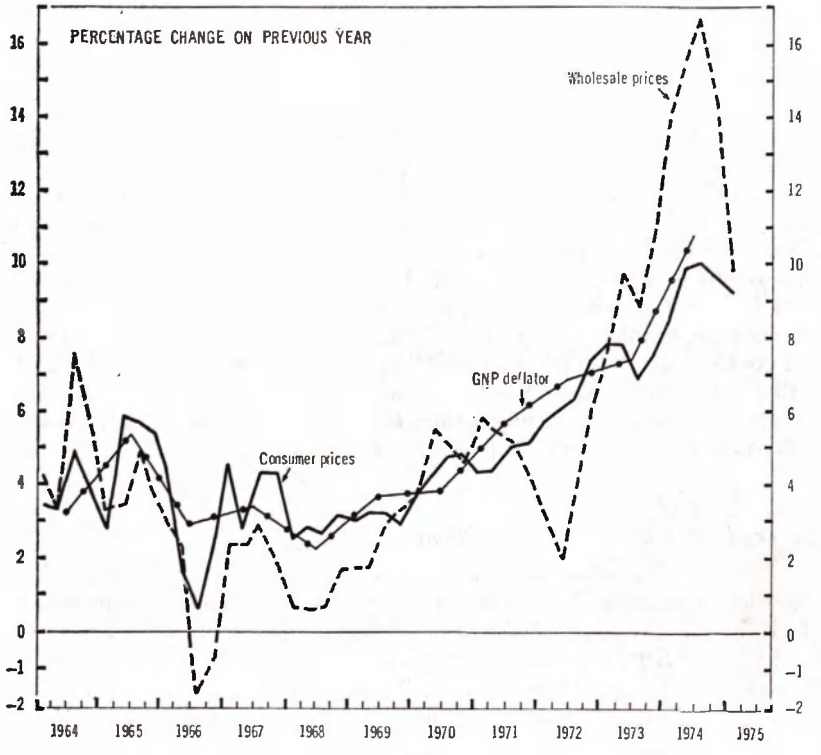
In addition to mounting wage cost pressure, prices in 1974 were boosted by a continued rapid rise in raw material prices during the early part of the year. Although commodity prices started to decline after the middle of 1974, they exceeded their average 1973 level by as much as 70 per cent (in US dollars including oil) due to a large positive overhang. The steady improvement in the Schilling exchange rate since 1971 dampened the rapid raw material price increase to some extent (Diagram 5), and helped to keep the acceleration of domestic prices significantly below the rates experienced in most other Member countries. The rise of the wholesale price index started to decelerate in late 1974 and early 1975, reflecting the large weight of raw materials (Diagram 6). By contrast the rate of inflation

Table 4 Contribution of Selected Expenditure Components to the Increase in the Consumer Price Index

	Per cent increase over previous year				Percentage point contribution to increase in CPI			
	1971	1972	1973	1974	1971	1972	1973	1974
Goods and services, not subject to public price regulation	4.5	5.9	7.7	9.6	3.0	4.0	5.2	6.5
Foodstuff (excl. seasonal products)	2.5	5.5	7.2	8.7	0.5	1.2	1.5	1.8
Meat and meat products	2.1	6.8	8.3	4.6	0.2	0.7	0.8	0.4
Other	2.9	4.5	6.3	12.2	0.3	0.5	0.7	1.4
Manufactured goods	3.1	4.3	5.2	8.3	1.0	1.3	1.6	2.5
Services	10.1	10.0	13.5	13.4	1.5	1.5	2.1	2.2
Goods and services, subject to public price regulation	3.2	6.4	5.4	11.6	0.7	1.4	1.2	2.5
Goods	4.4	5.0	5.1	14.3	0.6	0.7	0.7	1.8
Fooddstuffs	4.0	3.7	6.2	9.2	0.3	0.3	0.4	0.6
Energy	5.0	6.3	4.1	19.5	0.3	0.4	0.3	1.2
Services	1.4	8.8	5.7	7.6	0.1	0.7	0.5	0.7
Rents	12.9	10.1	11.6	5.2	0.7	0.6	0.8	0.3
Seasonal products	5.2	7.3	8.4	4.2	0.3	0.3	0.4	0.2
Consumer price index, total	4.6	6.3	7.6	9.5	4.7	6.3	7.6	9.5
Excl. seasonal products	4.7	6.4	7.5	9.7	4.4	6.0	7.2	9.3

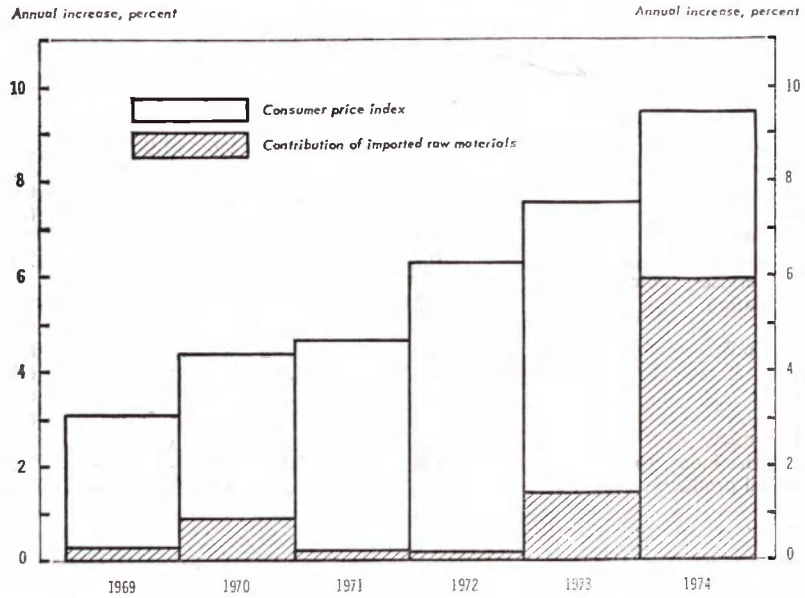
Source: Austrian Institute for Economic Research.

Diagram 6 **Wholesale Prices, Consumer Prices, and the GNP Deflator**



Source: Austrian Institute for Economic Research.

Diagram 7 **Mechanical Contribution of Imported Raw Materials to the Increase in Consumer Prices**



NOTE Instantaneous passing on of price increases assumed.
Source: Austrian Institute for Economic Research, Monatsberichte I, 1975, p. 13.

of consumer prices did not decline significantly from its peak level of close to 10 per cent attained in mid-1974. April figures do, however, show a distinct deceleration, probably a result of weak demand and increased competitive pressure (Diagram 6). Table 4 depicts the contributions of individual expenditure components to the annual increase in the consumer price index in recent years and is self-explanatory. While in absolute terms inflation rates in 1974 reached a record high, the special circumstances prevailing in 1974 should be taken into account to put price developments into perspective. It has already been pointed out that in international comparison Austria's rate of inflation in 1974 was relatively low. Furthermore, the 1974 price rise was strongly affected by the international raw material price boom. Indeed, considering domestic components of inflation, 1974 compares rather favourably with preceding years (Diagram 7).

Foreign Trade and the Balance of Payments

The sharp rise in the current deficit by Sch. 10 billion in 1974 (more than 1½ per cent of GNP) which was forecast a year ago did not materialise[6]. The actual deficit increased by only Sch. 2 billion, a remarkable achievement in the light of falling net tourist receipts, increased oil prices, the upward floating of the Schilling, and a domestic economy that was notably more buoyant than those of most trading partners

6 OECD Economic Survey of Austria, July 1974, page 34.

(Diagram 1). While both the transfer and service balance deteriorated more or less along the lines predicted, the Sch. 1.1 billion improvement in the trade balance has taken most observers by surprise. Developments in early 1975 so far point to a continuation of this favourable tendency. Exports to Eastern Europe (value) grew by 35 per cent in the first quarter (year-on-year) and this in large measure offset declines elsewhere. At the same time, total imports fell by 4 per cent resulting in 14 per cent decline of the trade deficit. Further relief for the current balance in early 1975 came from the service balance: net receipts from tourism in January-February rose by 68 per cent from their corresponding 1974 level, and advance bookings for the summer season by German tourists (who account for 60 per cent of the total) were reported to be up by more than 10 per cent.

The unexpected improvement in the trade balance in 1974 was due to several factors. Despite fiercer competition abroad Austrian exporters were able to make some further inroads into foreign markets or to consolidate earlier gains (Table 6). At the same time the import/expenditure elasticity dropped to 0.7, the lowest figure since 1967, As a result the real foreign balance showed an unexpected strength. Even more remarkable was, however, the behaviour of the terms of trade. Expressed in Schillings the unit values of Austrian merchandise exports increased by 16.8 per cent, while those of imports rose by 17½ per cent. This marginal deterioration can only be fully appreciated if compared with terms of trade developments in other OECD countries. For the area as a whole, unit values of imports and exports increased by 44.0 and 26.5 per cent respectively, implying a 12.2 per cent average weighted deterioration of Member countries' terms of trade. Among the larger OECD countries only Germany registered some gain in relative prices. A relatively low share of oil in total imports was no doubt one of the reasons favouring Austria's terms of trade. An average 4.8 per cent improvement in the trade weighted Schilling exchange rate also helped to keep import price increases relatively low despite booming raw material prices. On the other hand, it apparently did not exert a corresponding dampening impact on Schilling export prices.

The above-mentioned increase in the real trade balance reinforced the positive balance of payments impacts resulting from stable terms of trade. Commodity exports rose by nearly 13 per cent in volume, or more than three times as fast as imports. While the slow advance in imports can largely be attributed to the slackening of domestic activity, the continued sharp increase in exports seems more difficult to explain. Activity in Austria's major trading partners—Germany, Italy, the United Kingdom and the USA—was notably depressed, and in fact exports to these countries stagnated in volume terms. Nor can differential domestic demand pressures or favourable price developments in Austria vis-à-vis other trading partners serve as explanations. Despite the easing that occurred in the second half, the level of activity in Austria held up comparatively well throughout 1974. Domestic demand pressures were still high even by past standards in the early part of the year and this was the period when exports increased most rapidly (Table 1, see also Diagram 3). Furthermore, a combination of accelerating wage increases and the appreciation of the Schilling pushed Austria's wage costs up relative to those in important trading partner countries (Diagram 11). Therefore, the explanation of the good export performance must primarily lie in a combination of regional diversification, and a favourable commodity structure. Intangible factors such as the quality of exported goods as well as reliability of delivery, fostered by the traditional climate of social peace, are also likely to have contributed to the good export performance. It is notable that Austrian exports of capital goods rose particularly rapidly in early 1974 when the international demand for capital goods was still buoyant. Also, the country has no large automobile industry, so the steep fall in world demand for passenger cars had no adverse effects on the trade balance. At the same time, Austria greatly expanded its exports to Eastern Europe (including the

Table 5 Balance of Payments

	$ million						Schilling million					
	1970	1971	1972	1973	1973[1]	1974[1]	1970	1971	1972	1973	1973[1]	1974[1]
TRADE BALANCE (Transaction basis)	–713	–1 022	–1 335	–1 724	–1 711	–1 748	–18 424	–25 531	–30 865	–33 766	–33 522	–32 667
Exports[2]	3 070	3 403	4 099	5 812	5 868	8 346	79 366	85 006	94 776	113 853	114 957	155 979
Imports[2]	3 783	4 425	5 434	7 535	7 579	10 093	97 790	110 537	125 641	147 619	148 479	188 645
Services, net	682	907	1 176	1 439	1 297	1 200	17 636	22 648	27 198	28 198	25 402	22 425
Foreign travel, net	697	915	1 197	1 511	1 369	1 190	18 023	22 851	27 668	29 609	26 813	22 236
Receipts	1 005	1 271	1 679	2 190	2 190	2 289	25 969	31 756	38 826	42 895	42 895	42 773
Expenditure	307	356	483	678	821	1 099	7 946	8 905	11 158	113 286	16 082	20 537
Investment income, net	–46	–51	–84	–131	–131	–104	–1 200	–1 281	–1 934	–2 567	–2 567	–1 947
Other services, net	31	43	63	59	59	114	813	1 078	1 464	1 156	1 156	2 136
Transfers, net	9	6	–35	–82	61	50	244	152	–801	–1 640	1 192	933
Public, net	2	–4	–5	–5	–5	–10	–48	–93	–112	–103	–103	–194
Private, net	11	10	–30	–77	66	60	292	245	–689	–1 501	1 295	1 127
CURRENT BALANCE	–21	–109	–193	–366	–354	–498	–544	–2 731	–4 468	–7 172	–6 928	–9 309
Long-term capital, net	16	–17	82	–192	–192	395	419	–416	1 896	–3 752	–3 752	7 378
Official, net[3]	16	–46	–98	–61	–58	–18	413	–1 153	–2 262	–1 193	–1 127	2 680
Private, net	—	30	180	–131	–134	413	6	737	4 158	–2 559	–2 625	4 698
BASIC BALANCE	–5	–126	–111	–558	–545	–103	–125	–3 147	–2 572	–10 924	–10 680	–1 931
Non-monetary short-term capital	–36	17	–3	36	36	–24	–933	426	–72	697	697	–448
Errors and omissions	109	188	220	284	129	182	2 805	4 708	5 097	5 562	2 531	3 404
BALANCE ON NON-MONETARY TRANSACTIONS	68	80	106	–238	–380	55	1 747	1 987	2 453	–4 665	–7 452	1 025
Private Monetary Institutions short-term capital	115	271	242	45	45	265	2 971	6 776	5 590	881	881	4 944
BALANCE ON OFFICIAL SETTLEMENTS, EXCLUDING ALLOCATION OF SDRs	183	351	348	–193	–335	319	4 718	8 763	8 043	–3 784	–6 571	5 969
Gold	–1	–20	1	1	1	0	–27	–512	24	23	23	0
IMF position and SDRs	0	–23	–13	–20	–20	–25	0	–596	–292	–393	–393	–465
Other	184	395	359	–174	–354	344	4 745	9 871	8 311	–3 414	–6 201	6 434
Memorandum Items:												
Changes in Reserves arising from allocation of SDRs, monetization of gold, and revaluation of reserve currencies	30	–29	23	–67	75	–112	764	–733	532	–1 316	–1 471	–2 089
Allocation of SDRs	30	19	31	—	—	—	764	487	708	—	—	—
Change in total reserves (Central Bank plus banking sector) (+ = increase)	97	50	129	–305	–305	–57	2 511	1 254	2 985	–5 981	–5 981	–1 065

1 Unrevised.
2 Including transit trade, non-monetary gold and adjustments to trade according to foreign trade statistics.
3 Including Central Bank.

NOTE With exception of the figures for 1974, this table is based on recently revised Austrian balance of payments data, and is therefore not directly comparable with similar tables in earlier reports. Unrevised data for 1973 are presented for comparison purposes. Totals may not agree due to rounding.

Source: Austrian National Bank.

Table 6 Growth of Austrian Export Markets
Percentage changes, seasonally adjusted volume figures, at annual rates

	Percentage share in Austria's exports in 1973	1973	1974	1975[1]	1974		1975[1]		1976[1]
					I	II	I	II	I
Imports (total)									
Germany	22	6.7	2.0	1	0.8	6.3	–4¼	7	8
Switzerland	11	4.6	–1.3	–4½	1.6	–12.5	–2.0	0	3
Italy	11	12.0	–4.8	–6¼	–12.9	–8.3	–11	4¼	3
United Kingdom	8	14.9	0.7	–2¼	–3.5	–3.7	–4	3	3½
United States	4	5.3	–2.6	–8	–3.4	0.6	–19	8	8
Total OECD	76	12.3	0.6	–3¾	–1.2	–2.9	–8¾	6¼	6¼
OPEC[2]	2	17.6	41.3	40	38.0	77.0	34.5	28.0	22.0
Eastern Europe (incl. USSR)[2 3]	12	32.5	17.3	...	6.0	37.1	...	...	...
Austrian Export Markets[4]	100	15.0	6.9	–1	6.8	4.9	...	...	4½
Memorandum item:									
Austrian exports	100	10.2[5]	12.8[5]	–3	29.3[5]	–13.5[5]	–½	4.0	5

1 Forecasts.
2 Imports from OECD countries only.
3 Secretariat estimate.
4 Growth which would occur in Austria's exports if it maintained its share in total OECD exports to each of 19 geographical markets.
5 Unadjusted for statistical distortions.
Source: OECD.

USSR), Yugoslavia and OPEC countries. These rose by 70 per cent in value terms in 1974, and accounted for nearly a quarter of total exports, as against 18 per cent in 1973.

The financing of the 1974 current deficit did not apparently pose any particular problems given the Sch. 11 billion positive swing in net long term capital inflow. A closer examination of the various components of the capital balance suggests that the upward adjustment of Austrian bond rates (see Diagram 10) attracted foreign capital and discouraged financial investment abroad. Investment in foreign fixed interest securities by the private sector (bank and non-bank) fell by Sch. 4.4 billion, while foreign net purchases of Austrian fixed interest securities rose by Sch. 2.9 billion. Direct investment in Austria also rose by Sch. 1 billion, while public authority borrowing abroad increased by nearly Sch. 4 billion. The basic balance deficit in 1974 therefore fell by close to Sch. 9 billion, and this improvement appears to have carried over into 1975, producing a basic surplus early in the year. On the short term capital account, the main feature was a sharp reduction in both the inflow and especially the outflow of bank funds. This can probably be related to the rising trend of relative long term interest rates. Altogether, the short term capital surplus excluding errors and omissions increased by some Sch. 3 billion to Sch. 4.5 billion. With the traditional surplus on errors and omissions decreased to Sch. 3.4 billion, the balance on official settlements registered a surplus of about Sch. 6 billion, raising the level of official reserves to some Sch. 61 billion by the end of 1974, sufficient to cover four months' imports at 1974 rates.

II ECONOMIC POLICY

The chronology of main economic policy events presented in Annex I of this Survey includes a wide range of policy measures which point to a progressive expansionary reorientation of policy since the summer of 1974. In retrospect, both the timing and the extent of policy changes appear to have been appropriate. During the first six months following the outbreak of the oil crisis, the authorities were still faced with continued strong domestic boom conditions, accelerating international inflation, and rapidly deteriorating current balance of payments prospects. Consequently, the earlier " Phase I and Phase II " stabilisation programmes of November 1972 and June 1973 were followed by the introduction of new restrictive policy packages in November 1973 (Phase III) and June 1974 (Phase IV). When it became clear, however, that the recessionary tendencies abroad were much more pronounced than expected earlier and that this could entail undesirable employment effects, fiscal policies were shifted into a more expansionary direction and monetary restraint was gradually relaxed. The margin of manœuvre has, however, been limited in two important respects. First, the slowing down in economic activity has mainly been a direct or indirect consequence of the slump in world trade and secondly, domestic cost inflationary pressures have not yet shown any unambiguous signs of easing. It must also be borne in mind that it was only around the middle of last year that the Austrian economy came out of its longest and strongest post-war boom. A certain cooling-off period was therefore generally thought to be required to bring inflation under better control. In this context it is of course also important to note that the level of registered unemployment has up to now remained low and that, owing the unique Austrian socio-political environment, a major increase is unlikely to take place.

Fiscal Policy

The change in the ranking order of policy priorities from price to employment stabilisation has been clearly reflected in the conduct of last year's budget policy. The original Federal 1974 budget proposals were designed to give less support to economic activity than in 1973 and efforts to slow down the placement of public construction orders were continued during the first half of the year[7]. The " Phase IV" stabilisation programme launched in June 1974 requested Länder and municipalities to exercise similar restraint. However, as the year progressed and earlier signs of weakness were increasingly confirmed, the budget stringencies previously imposed were relaxed or removed and part of the contingency spending plans were utilised. There was also a greater willingess on the part of the Minister of Finance to yield to additional expenditure requests entailing a significant overrunning of initial expenditure appropriations.

A comparison of the preliminary 1974 budget out-turn with the voted budget estimates indicate the extent of the expansionary policy shift (Table 7). While tax receipts (and similar levies) fell about Sch. 2 billion short of initial estimates total expenditure exceeded " basic " spending appropriations by a substantial margin. As a result the overall deficit before debt repayment increased by Sch.

7 The 1974 budget proposals consisted of three parts: the basic budget covering unavoidable and urgent expenditure, a contingency budget ("stabilisation quota ") covering all expenditure appropriations to be released only in cases of unforeseen regional or sectoral weaknesses of demand, and an emergency programme to be implemented in the event of an unexpected sharp downturn of the economy.

8.2 billion,or 13 per cent of GNP, to Sch. 11.3 billion. With net payments to abroad increased only little (Sch. 200 million), but net additions to reserves exceeding original appropriations by Sch. 4.4, the internal income or demand effective deficiting showed a much smaller increase. (see last line of Table 7).

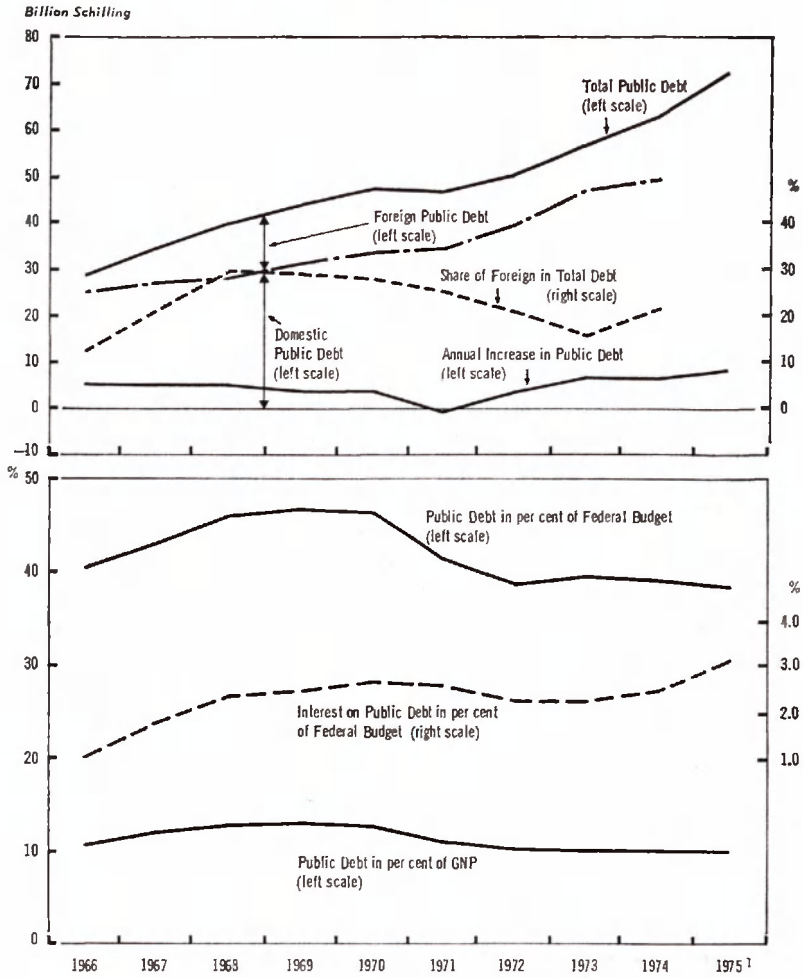
Table 7 **The Federal Budget-Administrative Basis**
Schilling billion

	1973	1974 Voted	1974 Outturn[4]	1975 Voted	Change in per cent: 1974 outturn / 1973 outturn	Change in per cent: 1975 voted[6] / 1974 outturn
Revenue						
Taxes[1]	88.4	109.3	107.3	124.6	21.2	16.1
Income from federal monopolies and enterprises	25.5	27.8	29.3	32.3	14.9	10.2
Withdrawals from reserves set aside in previous years	1.2	2.0	1.3	2.1	8.3	61.5
Transfers from abroad	0.1	0.2	0.2	0.2	100.0	0
Others[2]	13.0	9.2	10.5	8.9	–19.2	–15.2
Total	128.3	148.5	148.6	168.1	15.8	13.1
Expenditure						
Wages and salaries	38.1	42.0	43.2	48.4	13.4	12.0
Gross investment	15.4	18.6	19.4	23.0[6]	26.0	18.6[6]
Investment promotion	4.2	4.5	5.5	5.0	26.2	–5.7
Price subsidies and transfers	45.4	50.3	52.8	61.0	16.3	15.5
Purchases and payments abroad	2.1	2.3	2.5	3.6	19.0	44.0
Debt repayment and similar payments	5.8	7.8	7.2	7.8	24.1	8.3
Transfers to reserves	3.2	0.8	4.5	0.0	40.6	–100.0
Other	26.9	33.1	32.2	37.8	19.7	17.4
Total	141.1	159.4	167.1	186.6	18.4	11.7
					Change in terms of GNP	
Reflationary stabilisation quota	..	4.9	(5)	3.4		
Reflationary emergency programme	..	3.0	—	3.3		
Overall deficit excluding debt repayment	–7	3.1	–11.3	–10.7	0.7	–0.1[6]
Internal demand effective financial balance[3]	–3.0	–2.2	–5.8	–9.4[6]	0.5	0.6[6]

1 Including other similar levies.
2 Including interest receipts.
3 Overall deficit minus debt repayment, net payments abroad, and net addition to reserves.
4 Preliminary.
5 Expenditures on account of partially activated stabilisation quota are contained in the above expenditure items.
6 Including Sch. 2.2 billion released from the stabilisation quota in April 1975.
Source: Ministry of Finance.

The Federal 1975 Budget will again provide a strong stimulus to the economy, mainly as a result of the tax reform which became effective on 1st January. Lower income tax rates and higher tax free allowances will bolster private household disposable income by more than Sch. 9 billion in 1975 and a further cut of the investment tax by 3 percentage points will reduce enterprises' tax burden. The expansionary impact of the tax reform has been further reinforced on the expenditure side by the partial release in April of Sch. 2.2 billion from the stabilisation quota and a relatively early release of ordinary expenditure appropriations worth

Diagram 8 **Public Debt 1966-1975[1]**



1 Official budget forecast.
Source: Ministry of Finance, OECD.

Sch. 4.5 billion[8]. Further demand supporting effects will result from automatic fiscal stabilisers. The original official budget estimates were based on the assumption of a 4 per cent real GNP growth and a 13½ per cent nominal growth between 1974 and 1975. As discussed in Part III of this Survey, current trends and forward indicators suggest a much weaker picture so that tax receipts will probably turn out to be lower and transfer payments higher than envisaged in the budget proposals. As a consequence the overall budget deficit before loan and reserve transactions may well attain a much higher level than originally envisaged. The internally

8 Following earlier practice part of certain initial expenditure appropriations had been blocked when the budget was voted and could only be utilised on agreement with the Minister of Finance. In the past most of these expenditure restrictions were regularly lifted in the course of the budget exercise.

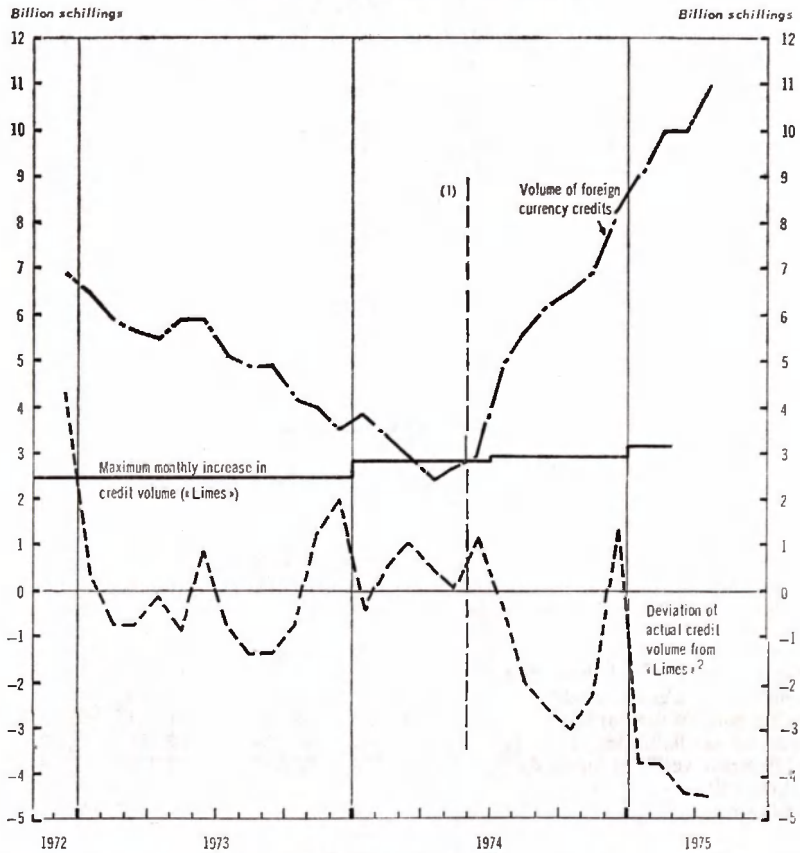
effective expansionary impact can be expected to amount to some 1 to 2 per cent of GNP, thereby providing an important support to economic activity.

Despite the weakening of the financial position of the Federal Government in recent years, the debt level of the public sector taken as a whole has remained rather small. In fact, relative to GNP or to total government receipts, the public debt at the end of 1974 was even marginally below the level reached in the late sixties (Diagram 8). In international comparison Austria has since the War maintained her position as a low public debt country.

Monetary Policy

After the transition to a system of " managed floating " in March 1973, the monetary authorities gained closer control over the money supply. In accordance with phases II, III and IV of the Government's stabilisation programme (see Annex I), the Central Bank adopted a restrictive (though flexible) policy stance. The main instrument used to keep the growth of monetary aggregates in line with that of desired nominal GNP was the periodic renewal of the Credit Control Agreements modified in 1972 to limiting the rate of bank credit expansion to 1 per cent per month. Lending restrictions were also agreed with non-bank financial intermediaries. (Diagram 9).

Diagram 9 **Utilisation of Credit-Ceilings**



1 Foreign currency credits excluded from the "Limes".
2 Actual credits exclude increase in foreign currency credits effected after May 1974.
Source: OECD.

Domestic money market rates as well as banks' lending and deposit rates came under increasing pressure in early 1974 under the impact of tightening credit market conditions abroad and the growing dependence of the banking system on refinancing facilities offered by the Central Bank (Diagram 10). The legal maximum interest rates established for bank deposits were frequently exceeded and the rising attractiveness of deposit rates relative to traditional bond yields caused a marked decline in bond prices and reduced purchases of new issues. In May 1974, the Central Bank decided to adjust the whole interest rate structure upwards, as the earlier aim of keeping deposit interest rates stable and preventing pronounced fluctuations in bond prices was becoming increasingly incompatible with the requirements of flexible monetary management. The Bank's lending rates, i.e. the discount and the Lombard rate, were increased by 1 percentage point to 6½ per cent and 7 per cent respectively while bank deposit rates were raised by 1½ per cent to a maximum of 6 per cent (9½ per cent including a 3½ per cent savings premium). To restore a more normal interest rate structure it was subsequently decided to authorise new bond issues at an 8½ per cent coupon rate. With a view to strengthening confidence in the still narrow and rather fragile Austrian capital market the coupon rate of bonds in circulation was increased in line with the rates on new issues (" Bonifikation ").

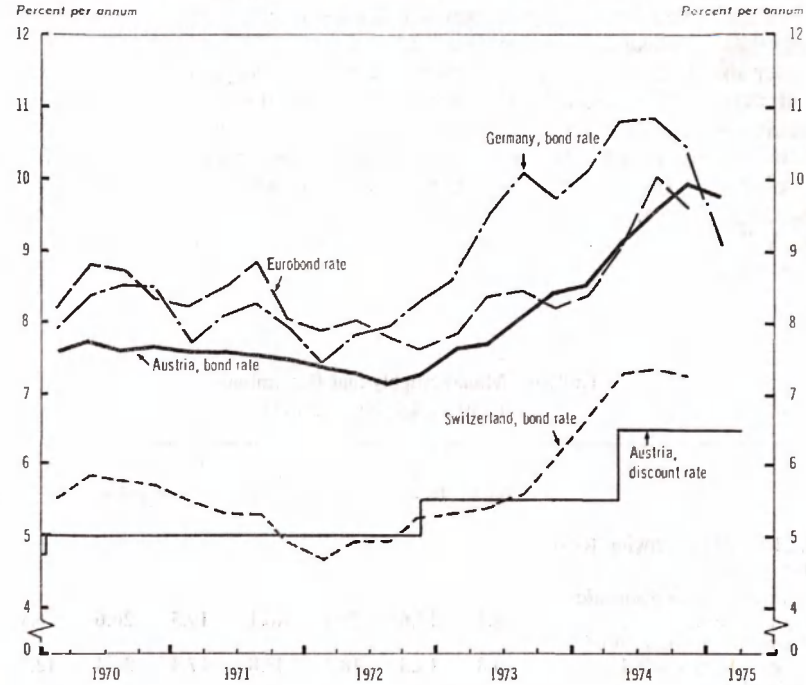
This upward adjustment of the interest rate level could be interpreted as a restrictive policy move. On the other hand the liquidity position of the banking sector was improved by the reduction—originally intended to be temporary—of minimum reserve ratios in March 1974 and some Central Bank net open market purchases in the course of the year (Table 8). In view of the relatively sluggish summer tourism and weakening economic activity, reserve requirements were not raised later in the year as originally planned. Furthermore, quantitative limitations on credit expansion were partly eased in mid 1974 by excluding from the ceiling credits denominated in foreign currency and by changing the base from which the maximum monthly credit expansion is computed. During the stabilisation programme ending in June 1975, the 1 per cent per month credit ceiling has been maintained (again excluding foreign currency credits) with the base date being brought to the 31st December 1974.

Table 8 **Bank**
Schilling

		1973			Changes
		Year	1st half	2nd half	Year
1	Notes and coin	1 072	556	516	428
2	Excess reserves	2 971	2 781	190	219
3	Unused unconditional refinancing facilities with Central Bank	3 361	2 689	672	43
4	Short-term foreign assets[1]	13 675	8 275	5 400	–1 193
5	Gross "free reserves" (1 through 4)	21 079	14 301	6 778	–503
6	Liabilities with Central Bank[2]	1 555	917	638	3 344
7	Sight deposits of foreign banks	–1 129	1 664	–2 793	1 505
8	Money market liabilities (6 + 7)	426	2 581	–2 155	4 849
9	Net "free reserves" (5 minus 8)	20 653	11 720	8 933	–5 352
10	Total deposits				
11	Liquidity ratio				

1 Sight and time deposits with foreign banks, including swaps and foreign exchange.
2 Bills discounted by, and claims from, secured loans of Central Bank.
Source: Austrian National Bank.

Diagram 10 **Development of Austrian Interest Rates in International Comparison**



Source: OECD.

In spite of a basically unchanged posture of monetary policy, credit and liquidity conditions have eased somewhat since the summer of last year. Interest rates have tended to decline from their record levels attained in the second quarter of 1974,

Liquidity
million

during period				Levels end-period			
1974		1974	1975	1973	1974	1974	1975
1st half	2nd half	Q1		Year		Q1	
255	173	–169	–83	4 620	5 048	4 451	4 965
–102	321	–124	929	198	417	74	1 346
1 661	–1 618	–102	3 529	5 076	5 119	4 974	8 648
–6 670	5 477	–15 578	–5 857	43 822	42 629	28 244	36 772
–4 856	4 353	–15 973	–1 482	53 716	53 213	37 743	51 731
3 231	13	1 132	–4 246	4 309	7 653	5 441	3 407
1 034	471	1 279	489	5 374	6 879	6 653	7 368
4 265	484	2 411	–3 757	9 683	14 532	12 094	10 775
–9 121	3 869	–18 384	2 275	44 033	38 681	25 649	40 956
				320 149	361 024	327 197	377 330
				13.8	10.7	7.8	10.9

while the ratio of banks' net free reserves to total deposits has turned up. At the same time there has been a significant deceleration in the growth of all major monetary aggregates reflecting weaker foreign and private domestic demand (Table 9). The rather marked change in consumer behaviour has been associated with a shift in the structure of bank liabilities towards savings deposits and some increase in the velocity of money (GNP/M1 ratio). More generally the slackening domestic activity during the past twelve months is reflected in the underutilisation of maximum credit volumes. Indeed, during the first four months of 1975 total bank credit to domestic non-banks increased by only 2.6 per cent[9] while the ceiling laid down in " Phase V " of the stabilisation programme would have permitted an increase of 4 per cent (Diagram 9).

Table 9 **Money Supply and Determinants**
Changes in Schilling billions

	1973			1974			1974	1975
	Total	1st half	2nd half	Total	1st half	2nd half	Q.1	
A Main factors influencing total money supply								
1 Bank credit to domestic non-banks	38.3	17.6	20.7	46.1	19.5	26.6	6.9	10.3
2 Domestic formation of monetary capital	36.8	18.5	18.3	43.8	17.4	26.4	12.7	15.0
of which:								
Savings deposits	29.1	11.3	17.9	32.1	9.4	22.6	5.4	7.5
Time deposits	0.6	1.8	–1.2	2.9	3.0	–0.1	3.8	4.3
Bank bonds[1]	3.4	2.4	1.0	4.9	1.8	3.1	1.1	1.3
3 Excess of total bank lending over monetary capital formation (1-2)	1.6	–1.6	3.1	2.3	2.1	0.3	–5.8	–4.7
4 Credit institutions' net foreign position	2.4	0.5	1.9	3.6	–1.1	4.7	–1.1	5.8
of which:								
Central Bank	–1.8	–0.1	–1.7	6.3	–4.2	10.5	–3.6	4.0
5 Other factors	2.3	2.5	–0.2	–0.2	–0.1	–0.1	0.9	0.6
B Change in total money (3 + 4 + 5)	6.2	2.1	4.1	5.8	0.9	4.8	–6.0	1.6

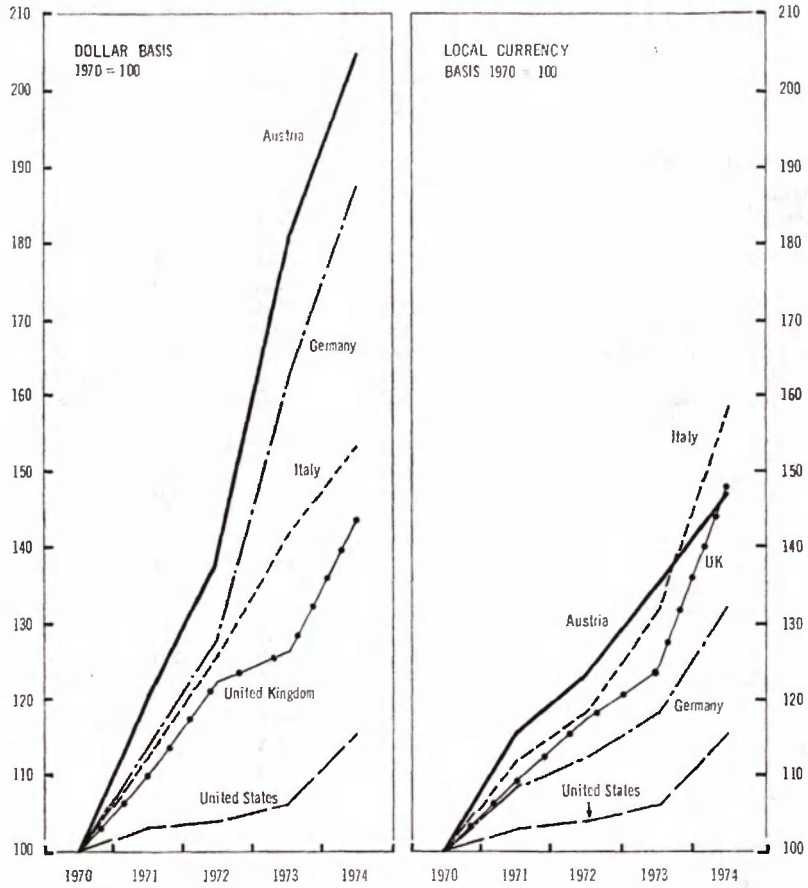
1 Excluding banks' own holdings.
NOTE Differences due to rounding.
Source: Austrian National Bank.

III SHORT-TERM PROSPECTS

Apart from the impact of the policy measures discussed above, developments in 1975 will be strongly influenced by the timing and strength of the expected upswing in the OECD area. The official Government forecast (Table 10) assumes a recovery

9 Excluding increases in foreign currency credits starting July 1974.

Diagram 11 **Unit Wage Costs in Industry**



Source: **OECD.**

of world trade not later than the second quarter of the current year, though at a slower pace than during previous recovery periods. On this assumption, and helped by the stimulative official policies during 1975, a quick improvement in business expectations, which have deteriorated rapidly since last autumn (Diagram 12), is obviously anticipated. As a result a somewhat reduced but still positive growth (½ per cent, vol.) of fixed capital formation is forecast. The major factors underlying the 5 per cent increase in real private consumption are the continued rapid expansion of contractual income, and the 2½ per cent boost to disposable income resulting from the fiscal reform. Public consumption is forecast to grow at its medium-term trend rate of 4 per cent. With some negative contribution to GNP growth from stock-building (a reaction to involuntary stock building during the second half of 1974) and the foreign balance, real GNP is forecast to advance by 2½ per cent, in strong contrast to a negative growth forecast (—1½ per cent) for the OECD area as a whole.

The official Austrian forecast (summarised in the preceding paragraph and presented in detail in Table 10) is partly based on the Secretariat's output and trade projections for the OECD area as of February 1975, which, however are at present being revised. In the light of preliminary OECD estimates for the development of

Table 10 **Demand and Output** (March forecast)

	1973		Percentage changes in volume from previous year		
	Sch. bill. Current prices	Per cent of GNP	1973	1974	1975 (official forecast)
A Demand and output					
Private consumption	293.15	55.0	4.1	3.7	5
Public consumption	81.55	15.3	3.8	4.0	4
Gross fixed investment	148.65	27.9	2.8	1.2	½
Final domestic demand	523.35	98.1	3.7	3.0	3½
Stockbuilding[1]	11.91	2.2	(3.5)	(1.4)	(–½)
Total domestic demand	535.26	100.4	7.3	4.2	3
Exports of goods and services	181.24	34.0	8.3	8.6	3½
Imports of goods and services	183.21	34.4	12.4	8.0	4½
Foreign balance[1]	–1.97	–0.4	(–1.5)	(0.1)	(–½)
GNP at constant prices	533.27	100.0	5.8	4.4	2½
B Memorandum items					
Consumer price index			7.6	9.5	9
Terms of trade[2]			2.0	0.4	2¼
Breakdown of gross fixed investment:					
Machinery and equipment	60.3	11.3	–2.4	0.7	0
Construction	88.3	16.6	7.1	1.5	1
Breakdown of foreign trade:					
Exports:					
Goods[3]	102.0	19.1	7.1	10.8	3½
Tourism	46.1	8.6	–5.6	–5.4	–3½
Other services	29.7	5.6	36.3	21.1	7
Imports:					
Goods[3]	137.9	25.9	9.9	3.8	3
Tourism	17.8	3.3	3.3	16.4	–1
Other services	28.6	5.4	35.1	17.4	9
Current Balance (actual figures)					
Billion Schillings[4]			–7.1	–9.2	–10
Million US dollars			–362.4	–492.2	..

1 Contribution to growth of GNP.
2 Merchandise trade only.
3 Foreign trade statistics concept, fob.
4 Excluding errors and omissions.
Sources: Austrian Institute for Economic Research; OECD.

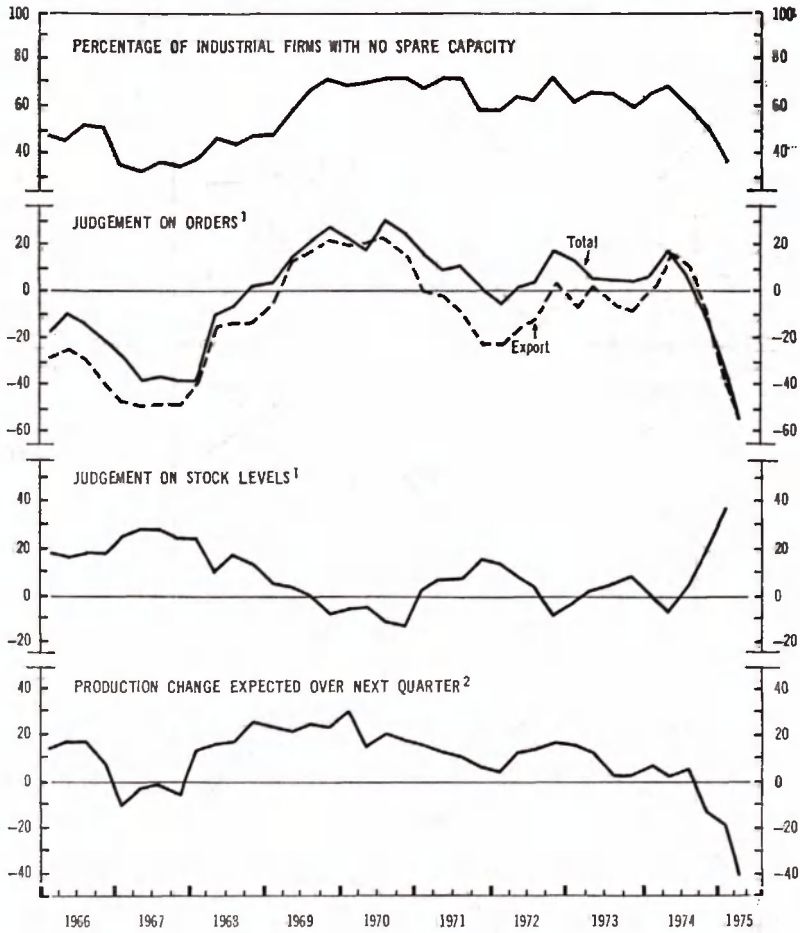
world trade in 1975 and early 1976, the export forecast incorporated in the Austrian GNP projections (March forecast) now seems too optimistic and a revision is under way. While Austria may be able, as in the past, to cushion the impact of the international recession by virtue of both favourable structural idiosyncracies and appropriate policies, the available statistics show that the weakening trends abroad have begun to affect exports and output since mid 1974:

(*i*) quarterly national accounts data show that GNP in the fourth quarter of 1974 was only 1.0 per cent higher than a year earlier, and 1.0 per cent (actual rate, seasonally adjusted) below the previous quarter level;

(*ii*) industrial production in January/February was 4.4 per cent below the corresponding level a year ago, and remained 3.6 per cent (actual rate) below the preceding quarter level on a seasonally adjusted basis;

(*iii*) order inflow and capacity utiliatsion in industry show that the downward trend in activity continues (Diagram 13).

Diagram 12 **Business Surveys in Industry**



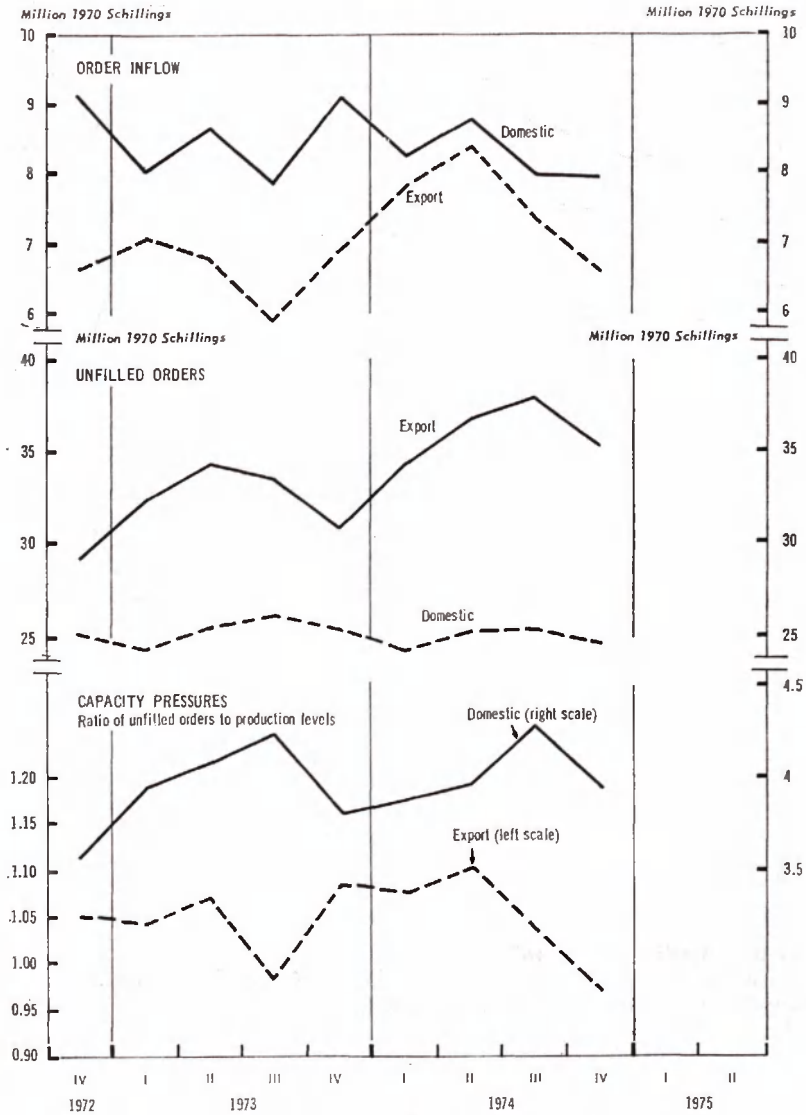
1 Minus sign indicates "too low".
2 Balance of percentage of firms expecting an increase (+) or decrease (—).
Source: Austrian Institute for Economic Research.

Even under the rather optimistic assumption that a pick-up of activity in the OECD area will be under way by the middle of the year, a further downward adjustment of the official forecast would seem required to make it consistent with the present world trade outlook. The short-term prospects discussed in the following paragraphs will therefore start from the much lower Secretariat's estimate for Austrian export growth and trace its repercussions on domestic demand components and aggregate output, taking into account most recent indicators and policy actions.

Exports

The OECD area volume export prospects for 1975 have been recently revised sharply downwards to a fall of between 2 to 3 per cent, as against a 1¼ per cent rise still expected in February. Given the favourable geographical composition of

Diagram 13 **Order Inflow and Capacity Utilisation in Industry**



Source: **Austrian Institute for Economic Research OECD.**

Austrian exports these revisions imply a smaller decline in Austria's regional export markets for this year. However, under present circumstances, the unfavourable commodity structure—i.e. a relatively large share of industrial raw materials in total exports—may prevent an early recovery of total sales abroad. Furthermore, the decline in Austria's price competitiveness in recent years, due both to the steep increase in domestic unit wage costs as well as the appreciation of the Schilling, could well have some restraining effect on world demand for Austrian products. Drastically reduced demand pressure abroad should improve the relative supply

positions of foreign competitors abroad. All in all, it seems rather unlikely that Austria will be able to keep the fall in its export volumes below the average decline predicted for the OECD as a whole. This rather pessimistic outlook seems to be corroborated by trade figures for the first quarter of the current year. Exports during the first 3 months of 1975 did not exceed those of a year ago in value terms (Schilling), which implies a volume decrease of about 10 per cent (see Part I for details).

On the other hand, available statistical evidence as well as general considerations suggest that the decline in foreign tourism experienced in recent years may be brought to a halt, or at least be less pronounced than officially anticipated in the March outlook:

(*i*) preliminary estimates for the winter season show an increase in overnight stays by foreigners of over 15 per cent compared to last year;

(*ii*) an anticipated 3 per cent volume increase of private consumption in Germany in 1975 should exert a strong expansionary influence on Austrian tourism exports; in fact advance bookings by German tourists for a summer vacation in Austria are running more than 10 per cent above last year's bookings.

Even though some offsetting dampening effects may result from a continuation of the recent tendency of average expenditures per tourist to decline and depressed real incomes in Anglo Saxon countries, the statistical evidence quoted above strongly suggests that gross receipts from tourism will at least match those of the previous year in volume terms. Exports of other services, however, are usually correlated with merchandise exports and imports and would have to be revised downwards with them so that all in all, total exports of goods and services in volume terms may well show a marginal decline between 1974 and 1975.

Gross Fixed Investment and Stockbuilding

On the basis of the then latest available investment test, conducted in autumn 1974, a 1 per cent volume growth in fixed investment for 1975 seemed likely, resulting from a 2½ per cent increase in equipment investment and zero growth for construction[10]. Since the investment test was taken the economic environment has deteriorated and various factors point to a sizeable reduction in investment growth for 1975:

(*i*) the quarterly volume of fixed investment has been declining steadily since early last year. The fourth quarter figure is 1.8 per cent below the average for 1974 and 2.2 per cent lower than the previous year level (Diagram 3). This will burden the 1975 growth rate with a negative overhang of almost 1 per cent;

(*ii*) expectations for foreign as well as total demand (GNP) are considerably weaker now than at the time of the investment test. Consequently, the business climate has deteriorated (Diagram 12), suggesting some negative repercussions on investment plans and activity.

These dampening influences on fixed investment will be partly offset by the additional Sch. 2.2 billion public capital expenditure programme announced in April, as well as the likely counter-cyclical behaviour of nationalised industries[11]. Still, the very weak domestic order inflow in the capital goods industry—though only partial evidence—suggests that the contractionary impact of recent develop-

10 Cf. Austrian Institute for Economic Research, Monthly Report 1975: 1, and the Institute's December forecast (" Prognose 1975 "), Table 1.

11 The share of publicy owned enterprises in fixed capital formation and employment is approximately 30 and 20 per cent respectively.

ments will most likely outweigh the demand supporting measures taken so far[12]. Industry is likely to bear the brunt of the expected downward adjustment of investment, while public investment will increase due to the policy measures taken.

Revised GNP data for 1974 show a strong build-up of inventories, far above what would have been expected on the basis of past experience and/or activity growth[13]. It thus seems plausible to assume that at least part of the 1974 inventory accumulation was involuntary and/or speculative. In either case, drastically reduced stock building should be expected in 1975, reinforcing the contractionary impact of other demand components somewhat more than shown in the official forecast.

Real Consumption and Consumer Prices

Disposable income—the major determinant of private consumption—will increase considerably in 1975 due to high contractual wage contracts and the effect of the fiscal reform which became effective on 1st January, adding about 2½ per cent to disposable income. Some dampening effects on disposable income will however result from a decrease in average as well as total hours worked, a decline in positive wage drift, a likely marginal reduction in the labour force, and a probably less than proportional increase in profit income. On balance, an increase in disposable income between 14 and 15 per cent can be anticipated. Consumer price developments in 1975 will or have already been influenced by various factors the net effect of which is difficult to predict. On the one hand, a long-delayed increase in regulated prices for services has moved up the consumer price index. Furthermore there are still pent up cost pressures from last year's steep increases in wholesale prices and high wage settlements which have not yet reached the final consumer. On the other hand, an anticipated sharp decline in import price rises (in domestic currency) should considerably reduce cost pressure on prices. On balance, a rate of inflation somewhat lower than last year's may result.

Deflating the growth in disposable income by the anticipated 9 per cent rise in consumer prices leaves a 5 per cent increase in real disposable income. Private consumption will probably grow at a lower rate though. The strongly curtailed growth of aggregate output and reduced job security are likely to induce an increase in the savings propensity as observed in other countries. Last year's upward adjustment of deposit and bond interest rates may also favour additional savings. In fact, the change in behaviour outlined above seems already to have set in during the second half of last year. Quarterly national accounts data (seasonally adjusted) show a significant decline in real private consumption in the second half of the year, while real disposable household income continued to grow. In the light of these considerations private consumption can be foreseen to rise by some 4 per cent implying an increase in the average personal savings rate of close to 1 per cent.

Total Demand, Imports and GNP

With public consumption unlikely to deviate much from its medium term trend rate of 4 per cent, total aggregate demand in 1975 may marginally exceed its

12 It should be noted that considering the explanatory power of the accelerator model in simulating investment behaviour in Austria (and elsewhere) between 1955 and 1972, maintenance of the 1972 level of capital formation in the light of greatly reduced output growth constitutes a major achievement (Cf. K. Aiginger, "Mittelfristige Investitions—Schwankungen in der Industrie", in: Austrian Institute for Economic Research, Monthly Report 1974: 10, pp. 466).

13 Due to the preliminary character of the revised data the possibility cannot be excluded that the stock increase shown for 1974—Schilling 14.2 billion, or 4 per cent of GNP, in 1964 prices—will be revised downwards.

1974 level. Applying an expenditure elasticity of imports (in constant prices) in line with the historical average produces an estimated import growth of slightly below 1 per cent in volume terms. With overall exports (including improved tourism prospects) unlikely to attain the 1974 level, this would entail a negative swing of the real foreign balance of approximately ¾ per cent in terms of GNP. The overall impact—direct and indirect—of the weak external picture is not easily quantifiable. The mechanical effect of substituting the lower OECD for the official March forecast of merchandise exports (assuming a 25 per cent import content) results in a 1.2 per cent decline in the GNP growth rate. This figure does not, however, take into account the repercussions of weaker export demand on the domestic demand components discussed in the preceding paragraphs.

Employment Prospects

The sudden decline in activity evident since the second half of 1974 has not so far had any major impact on the labour market. Given the high priority attached to job security and social stability in Austria it is also unlikely that a major deterioration of the employment situation will be allowed in the future, even if the expected upswing comes later or more hesitantly than anticipated. This expectation seems justified for several reasons:

(*i*) a 5 per cent reduction in contractual working hours introduced on January 1st will stretch the available work over a larger number of people. Similar effects can be expected to result from reductions in overtime;

(*ii*) about 20 per cent of the industrial labour force is employed by nationalised industries, which under present circumstances will strive to avoid dismissals even though some of the industries hardest hit by the present slump (e.g. steel) are in this category;

(*iii*) as long as the present slump persists, a continuing reduction of the foreign labour force is likely. Cyclical decreases in the participation rate will work in the same direction.

(*iv*) Instruments of active labour market policies have been greatly improved and expanded in recent years with resources allocated to these activities increasing more than 5-fold since 1970, amounting to Sch. 882 million in 1975. The existing training facilities as well as mobility and employment subsidies can be expected to relieve the unemployment problem.

Nevertheless, some rise in registered unemployment would seem almost unavoidable during the current year. Given the present weak demand outlook a decline in dependent employment between 6 and 8 thousand can be expected[14]. If a decrease of the foreign labour force by about 25 000 (year-on-year), is anticipated the average number of unemployed would be about 20 000 higher in 1975 a year earlier, implying an unemployment rate of 2½ per cent which is not particularly high either by historical or international standards but cannot be taken as a measure of forecast slack in the economy.

Terms of Trade and the Balance of Payments

While the Secretariat's volume forecast for Austrian exports (excluding tourism) is much less optimistic than the assumptions underlying the official GNP projections, the opposite is true for the anticipated international price movements. With rough agreement on merchandise export prices (+ 8 per cent) the advance of import prices foreseen by the Austrian authorities is almost twice as high (5.3 vs. 3 per cent). In

14 A continued growth of employment in the service sector will probably not suffice to offset the likely rather marked decline of the labour force in industry and construction.

fact the 5 per cent improvement in commodity terms of trade foreseen by the Secretariat in 1975 is more than large enough to offset the deterioration in the real trade balance. Combined with a stronger tourism forecast, the Secretariat outlook is for an improvement in the current balance in 1975 rather than a deterioration, at least in terms of local currency. These estimates are based on the assumption that the effective exchange rate of the Schilling remains (on average) at the level prevailing between 28th April and 2nd May. Given the volatility of exchange markets in the recent past this renders the terms of trade forecast highly tentative. But even in the unlikely event of a considerably higher current deficit, Austria's good standing as an international borrower and relatively ample availability of international liquidity would no suggest no major financing difficulties. Present interest rate differentials may well continue through 1975, constituting a strong incentive to borrow abroad. The Central Bank can be expected to handle existing (partial) controls on capital imports flexibly to ensure smooth financing of the current balance deficit and to potect the value of the Schilling vis-à-vis the " snake currencies ".

IV CONCLUSIONS

The performance of the Austrian economy during 1974 in the face of the various destabilising influences and shocks from abroad was impressive. The rate of growth of real GNP, twice as high as the average for OECD Europe, was close to longer-term trend. As elsewhere, the increase in consumer prices accelerated but was well below the OECD average. Likewise, the deterioration of the current balance of payments was much less dramatic than in most other industrialised countries and also significantly smaller than generally expected on the basis of earlier trends and the higher prices for imported oil.

There were several reasons for this relatively satisfactory development. First, the comparatively high degree of self-sufficiency in energy production and the absence of an automobile industry made the Austrian economy less vulnerable than many other countries to the oil crisis and its consequences. Secondly, the gradual shift in policy emphasis since the summer of last year towards stimulating activity and employment has been well timed. A wide range of policy instruments has been used in a fairly flexible manner taking into account as much as possible differential developments as between regions and sectors. Thirdly, the traditional social and political stability as well as the existing institutions and procedures in the field of prices and incomes determination have helped to contain the risk of acceleration of the price-wage spiral, reducing the need for a severe deflation of domestic demand.

While policies and " social partnership " have so far been successful in maintaining a reasonably good performance, current indicators point to a marked deceleration of economic activity, especially since the fourth quarter of 1974. Despite a relatively comfortable stock of unfilled foreign orders, merchandise exports in volume terms had started to decline already in the summer of 1974 and are unlikely to regain last year's level in 1975. According to the latest OECD Economic Outlook (to be published in mid-July) GNP of all Member countries combined may see an absolute decline in 1975 following zero growth in 1974. For Austria where final domestic demand has held up relatively well, the annual rate of growth is expected to remain positive.

Although the direct and indirect effects of the international recession on the Austrian economy appear to be significantly stronger than suggested by the official March outlook, the present situation would not seem to call for additional stimulative measures over and above those already taken or announced. It was only a year

ago that the turning point of a prolonged business upswing was passed. Previous OECD Surveys have argued that the progressive loss of price stability during the " permanent boom " period might endanger the smooth functioning of Austria's singular economic and social policy arrangements, and that the economy should therefore be allowed a breathing space. The marked easing of demand pressures since the middle of last year would seem to represent a necessary cooling-off period conducive to a slowdown of inflation.

Indeed, apart from the export-related, probably temporary, losses of output and income, the most disturbing feature in the present outlook is the persistence of strong domestic cost pressures. Last year's favourable balance of payments performance suggested that Austria's competitive position had remained strong, but in sharp contrast to developments in some important competing countries, there has as yet been little if any deceleration from earlier excessively high wage settlements. Moreover, since last year the Schilling has appreciated against a number of other currencies. Major wage contracts will not come up for renegotiation before early next year. It is important that by that time the rate of price inflation and current income claims will have been significantly reduced so that a decisive " breakthrough " on the wage front can take place.

The implication for policy which has been drawn from the above considerations will of course be invalidated if the prospective recovery of world trade is unduly delayed or proves to be much weaker than at present foreseen by the Secretariat. In view of the unusually great uncertainties attaching to the short-term prospects of the world economy, such risks should be regarded as more than a theoretical possibility. There can be no doubt that in the absence of a marked revival of world economic activity during the next six months or so, Austria would also be faced with recessionary problems and a continued decline of business investment unless the authorities were to take further measures of support.

The Federal budget deficit at present foreseen for 1975 should not be considered a constraint on additional measures of stimulus if these were deemed necessary for employment stabilisation and growth. To the extent that the deficit is caused by a shortfall of tax receipts and higher income maintenance payments or results from advanced spending on medium-and longer-term investment programmes it will disappear as the economy recovers. A substantial part of this year's deficit is due to the fiscal reform, and tax progression effects should serve to strengthen the financial position of the Government in coming years. The appropriate size of public sector claims on both the real and the financial resources of an economy can only be appraised in the framework of overall macro-economic equilibrium. A high degree of flexibility both on the expenditure and the financing side will in any case be required in view of the present rather unsettled state of the world economy and the difficulties of predicting its future course in the short and medium run with any reasonable measure of accuracy.

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Annex I

CHRONOLOGY OF MAIN ECONOMIC POLICY MEASURES

1974

January

As previously scheduled, minimum reserve ratios are raised ½ per cent as partial reversal of the 1 ½ per cent reduction of November 1973.

February

Further scheduled reversals of the November 1973 reduction in minimum reserve requirements are waived. Limit for open market purchases of securities by Central Bank widened from Sch. 1 to Sch. 2 billion.

March

Minimum reserve ratios lowered by 1 percentage point until 30th June. Assessment basis for gentlemen's agreement under which banks deposit 75 per cent of increases in schilling liabilities with Austrian National Bank shifted from 13th August, 1971, to 31st December, 1973. Measures result in release of Sch. 3.8 billion of bank's primary reserves.

May

Increase in official discount rate from 5 ½ to 6 ½ and in Lombard rate from 6 to 7 per cent with effect from 15th May. Limit for open market purchases of securities by Central Bank widened from Sch. 2 to Sch. 3 billion.

Margin within which Austrian schilling is allowed to fluctuate in relation to floating " snake " currencies widened from 2 ¼ to 4 ½ per cent of implied schilling parity with these currencies as from 17th May, 1974.

Maximum interest rates on savings deposits (at statutory notice) raised from 3 ½ to 5 per cent starting 1st June.

Ministry of Trade and Industry undertakes price survey covering principally prices for food, detergents and electrical household appliances.

June

Government prepares " Phase IV stabilisation programme ". Main features are:

(*i*) Fiscal: Reduction of subsidy payments (excluding private investment promotion) by 5 per cent; continuation of restrictive measures taken by Länder and local governments to the end of 1974; restrictive placement of public construction orders and selective stop of new building licences (filling station and bank office buildings); preparation of 1975 budget proposals adjusting planned expenditures to anticyclical requirements:

(*ii*) Monetary: Credit Control Agreements extended until 31st December, 1974, including limitation of bank credit expansion to 1 per cent per month; coupon rate for new bond issues fixed at 8.5 per cent;

(*iii*) Prices: New price control legislation includes extension of Price Determination Act. Amendments to Price Control Act to cover consumer prices not subject to official price regulation failed to be endorsed in Parliament; initiative of the Federal Government to voluntarily lower prices of key products (e.g. fuel oil and beef) or by trade chains.
Upward adjustment (" Bonifikation ") of coupon rate of bonds in circulation to match returns on newly issued bonds.

July

Increase of minimum reserve ratios by 1 percentage point postponed from 1st July until 1st September, 1974. Exclusion of credits denominated in foreign currencies from the 1 per cent a month credit expansion ceiling. Basis for computation of 1 per cent credit expansion limit (" Limes ") changed to June 1974.

August

Introduction of new Trade Act, substantially liberalising entry into all types of business.

September

Increase of minimum reserve ratios by 1 percentage point postponed a further month.

October

Increase of minimum reserve ratios now postponed indefinitely.

December

Limit for open market purchases of securities by Central Bank widened from Sch. 3 to Sch. 4 billion.

1975

January

Fiscal reform adding about 2 ½ per cent to disposable income in the form of income tax reductions and increased family allowances becomes effective.

Extension of GATT most favoured nation treatment to all East European countries (including the USSR) and China, and all LDCs not belonging to GATT.

Extension of Credit Control Agreement until 30th June, 1975. Maximum monthly credit expansion increased by shifting base period for computing 1 per cent a month increase from June to December 1974.

Amendments to Price Control Act become effective. They empower the Federal Ministry of Trade and Industry to impose a six months price stop for goods not enumerated in the 1957 Price Control Act and to require price labelling for services not previously covered by the relevant provisions of the Act.

April

Discount and Lombard rates lowered ½ per cent effective 24th April. Increase of unconditional re-discount quota for export promotion bills of exchange by Sch. 1 billion to Sch. 4 billion, limited until 30th April, 1976.

Government support programme announced notably comprising:

(*i*) Partial activation of stabilisation quota, permitting Sch. 2.2 billion additional investment expenditure;

(*ii*) Unblocking of Sch. 4.5 billion expenditure items in the basic budget, allowing public spending to acceleiate;

(*iii*) Subsidised investment credits to the business sector of the order of Sch. 5 billion supplied through the co-operation of the banking sector (including the National Bank) and the ERP-Fund.

(*iv*) An extension of subsidised export promotion credits to include the production phase of exports.

May

Initiative of the Federal Government to lower key prices through additiona subsidies (e.g. butter) or monitoring the passing on of declining import costs (e.g fuel, edible fats, etc.).

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STATISTICAL ANNEX

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Table A National Product
Sch. billion

	1971	1972	1973	1974	1971	1972	1973	1974
	Current prices				*1964 prices*			
EXPENDITURE:								
Private consumption	230.2	264.3	293.1	332.6	182.0	197.0	205.2	212.8
Public consumption	60.7	68.7	81.6	94.6	36.4	38.1	39.5	41.1
Gross domestic fixed capital formation	115.9	141.8	148.6	172.8	92.0	103.9	106.8	108.1
of which: Construction	63.1	79.8	88.3	103.5	50.4	57.3	61.4	62.3
Machinery and equipment	52.8	62.0	60.3	69.3	41.6	46.6	45.5	45.8
Change of stocks, incl. statistical errors	5.3	–4.5	11.9	20.6	2.6	–2.7	9.3	14.2
Exports of goods and services	134.3	155.0	181.2	225.6	111.0	122.8	132.9	144.4
less: Imports of goods and services	133.7	155.9	183.2	229.3	107.2	122.2	137.3	148.3
GROSS NATIONAL PRODUCT AT MARKET PRICES	412.7	469.4	533.3	616.8	316.8	336.9	356.4	372.2
ORIGIN BY SECTOR:								
Agriculture, forestry and fishing	25.0	27.9	31.2	33.2	21.3	21.5	22.6	23.3
Manufacturing and mining	147.4	165.9	173.9	206.1	121.5	129.5	137.5	144.5
Construction	40.1	50.5	54.8	62.5	31.4	35.2	37.9	38.6
Other	200.2	225.1	273.4	315.0	142.6	150.7	158.4	165.8
	Current prices				*Current price percentage distribution*			
DISTRIBUTION OF THE NATIONAL INCOME:								
Compensation of employees	205.4	232.8	272.1	314.4	66.5	66.7	68.6	68.2
Income from property and entrepreneurship	81.8	89.5	96.3	113.5	26.5	25.6	24.3	24.6
Savings of corporations Direct taxes on corporations	24.5	30.6	32.9	38.8	7.9	8.8	8.3	8.4
Government income from property and entrepreneurship	1.4	1.2	0.5	—	0.5	0.3	0.1	—
less: Income on public debt	4.4	4.8	5.3	5.9	1.4	1.4	1.3	1.3
NATIONAL INCOME	308.7	349.3	396.6	460.8	100.0	100.0	100.0	100.0

Sources: Austrian Central Statistical Office, Austrian Institute for Economic Research.

Table B **Output, Employment, Wages and Productivity in Industry**

	1971	1972	1973	1974	1973		1974				1975
					III	IV	I	II	III	IV	I
OUTPUT IN INDUSTRY, seasonally adjusted (1970 = 100):											
Total industry	106.1	114.9	120.1	126.1	121.6	122.0	127.1	127.1	126.5	124.3	120.4
Mining	103.5	104.0	105.0	106.0	104.7	104.3	106.1	106.2	105.7	106.5	96.4
Manufacturing	107.2	116.7	121.8	127.6	123.7	123.5	128.9	129.0	127.7	125.7	121.3
Base metals	100.0	105.5	107.9	116.5	107.6	110.2	109.0	116.8	120.0	120.9	107.0
Metals products	108.3	120.5	123.9	135.3	127.6	126.7	135.1	137.5	135.4	133.4	125.3
Food, beverages, tobacco	102.9	111.1	114.2	113.5	115.5	116.3	116.5	111.7	110.6	115.9	117.3
Textiles, clothing and footwear	106.4	114.0	119.7	116.7	121.5	119.2	115.4	118.2	117.8	116.9	102.3
Chemicals and petroleum products	109.9	119.3	127.7	132.8	129.3	132.0	137.8	136.2	133.7	124.2	130.6
EMPLOYMENT:											
Not seasonally adjusted ('000)[1]	648	662	676	673	679	683	673	671	676	674	
WAGES AND PRODUCTIVITY:											
Gross hourly earnings per wage earner (1965 = 100)	168.1	188.7	212.4	244.4	213.9	229.0	232.4	238.7	244.2	262.4	
Gross monthly earnings per employee (1963 = 100)	206.0	230.7	261.3	301.5	249.1	318.4	250.5	306.5	286.5	362.5	
Output per employee (1964 = 100)	148.2	157.4	159.6	169.4	152.5	170.8	164.3	177.3	159.3	176.8	
Wages and salaries per unit of output (1964 = 100)	125.6	132.6	146.5	160.3	146.0	167.7	137.7	156.0	162.6	185.0	

1 From 1971, coverage includes administrative personnel.

Sources: Main Economic Indicators, OECD, and Austrian Institute for Economic Research.

Table C Retail Sales and Prices

	1971	1972	1973	1974	1973		1974				1975
					III	IV	I	II	III	IV	I
Retail sales (1970 = 100):											
Total	110	132	135	154	136	170	129	145	157	184	
of which: Durables	113	132	143	166	142	187	140	161	163	201	
Prices:											
Consumer prices (1970 = 100), total	104.7	111.3	119.7	131.1	120.0	123.4	127.0	130.1	132.1	135.3	138 8
Food	103.8	109.8	118.4	128.3	118.8	121.3	125.1	127.4	129.8	130.8	132 8
Other	105.2	112.3	120.5	132.8	120.8	124.6	128.2	131.7	133.4	138.0	142 5
Wholesale prices[1] (1964 = 100)	122.0	126.8	128.4	147.8	128.7	134.0	141.0	146.9	150.3	153.1	154.9
Raw materials and semi-manufactures	127.4	130.7	133.3	171.2	134.2	145.2	160.6	171.1	175.2	178.0	178.4
Finished manufactures	121.8	127.4	121.8	136.6	121.8	125.5	129.7	134.8	138.9	142.9	147.7
Building prices in Vienna (1958 = 100)	209.8	236.5	278.7	327.4	283.2	285.2	291.1	334.5	339.5	344.2	360.2
Labour	277.6	325.0	406.3	479.3	416.0	416.0	417.9	495.0	498.9	505.3	535.3
Building materials	148.1	156.0	162.9	189.4	162.6	166.4	175.9	188.7	194.9	197.9	201.2

1 Without VAT as from January 1973.

Sources: Oesterreichisches Institut für Wirtschaftsforschung; OECD, Main Economic Indicators.

Table D Money and Banking[1]
End of period

	1971	1972	1973		1974				1975
			III	IV	I	II	III	IV	I
INTEREST RATES (per cent):									
Discount rate	5.00	5.50	5.50	5.50	5.50	6.50	6.50	6.50	6.50
Average bond yield[2]	7.5	7.4	8.2	8.5	8.5	9.3	9.8	10.1	9.7
MONEY CIRCULATION AND EXTERNAL RESERVES (Sch. bill.):									
Notes and coin in circulation	42.8	49.0	52.1	53.7	51.2	56.9	57.5	58.7	56.5
Sight liabilities of the Central Bank	18.0	21.9	22.0	16.5	15.7	13.8	15.7	20.5	19.7
Gross external reserves of the Central Bank	48.9	57.3	56.2	52.3	48.3	46.6	54.9	56.7	60.1
of which: Gold	17.9	17.9	17.9	17.9	17.9	17.9	17.9	17.9	17.9
CREDIT INSTITUTIONS (Sch. bill.):									
Credits to domestic non-banks	205.8	248.9		276.1		292.2		316.4	331.9
Short-term	68.2	81.3		86.9		92.4		104.5	61.1
Medium-term (1 to 5 years)	43.0	51.1		53.8		56.1		59.2	31.7
Long-term	94.6	116.5		135.4		143.7		152.7	239.1
Deposits from domestic non-banks	211.8	247.7	268.0	282.4	287.6	292.3	302.8	318.2	20.0
Sight	41.5	53.3	54.8	58.3	54.3	55.8	58.9	59.1	54.3
Time	18.4	24.0	25.4	24.6	28.4	27.5	28.2	27.5	71.7
Savings	151.9	170.4	187.8	199.5	204.9	209.0	215.7	231.6	73.0
Holdings of domestic Treasury bills	9.1	9.7	13.4	14.9	14.5	15.5	16.6	14.7	
Holdings of other domestic securities	30.8	35.9	41.3	43.8	44.2	46.1	47.5	51.2	
Foreign assets	34.5	48.4	55.0	70.1	54.6	67.4	63.7	76.6	
Foreign liabilities	37.5	52.9	56.2	70.4	52.4	64.6	61.2	79.6	

1 Totals may not add due to rounding.
2 Average effective yields on circulating issues.
Sources: Oesterreichische Nationalbank; Oesterreichische Länderbank.

Table E The Federal Budget
National Accounts Basis
Sch. billion

		Outturn 1971	Outturn 1972	Outturn 1973	Estimated Outturn 1974	Voted 1975
1	Current revenue	73.1	83.8	86.1	106.9	121.4
	Direct taxes of households	24.7	28.5	30.9	36.7	43.5
	Indirect taxes	44.0	51.3	52.6	63.5	72.0
	Corporate taxes	6.0	6.6	6.2	8.5	10.0
	Income from property and entrepreneurship	–1.7	–2.7	–3.7	–2.0	–4.3
	Current transfers from abroad	0.1	0.1	0.1	0.2	0.2
2	Current expenditure	66.1	74.1	85.7	106.1	121.7
	Goods and services	28.0	32.4	29.8	34.5	40.7
	Subsidies	3.2	3.3	3.9	10.5	11.3
	Public debt	2.9	3.0	3.2	3.6	5.8
	Transfers to abroad	0.2	0.2	0.3	0.3	0.4
	Transfers to public authorities[1]	14.4	16.1	27.8	33.9	34.9
	Transfers to private households	17.4	19.1	20.7	23.3	28.6
3	Net public savings (1 — 2)	7.0	9.7	0.4	0.8	–0.3
4	Depreciation	0.5	0.6	0.7	0.8	0.9
5	Gross savings (3 + 4)	7.5	10.3	1.1	1.6	0.6
6	Gross asset formation	6.4	7.2	7.4	7.9	9.6
7	Balance of income effective transactions (5 — 6)	1.1	3.1	–6.3	–6.3	–9.0
8	Capital transfers (net)	2.3	4.1	5.1	5.6	6.5
9	Financial surplus (deficit) (7 — 8)	–1.2	–1.0	–11.4	–11.9	–15.5

1 Up from 1973 wages of educational staff employed by the Länder are included in transfers to public authorities.
Source: Ministry of Finance.

Table F **Merchandise Trade by Commodity Group and Area**
Monthly averages, Sch. million

	Imports					Exports				
	1970	1971	1972	1973	1974	1970	1971	1972	1973	1974
Total	7 689	8 706	10 048	11 489	14 023	6 189	6 583	7 479	8 498	11 113
By commodity group:										
Food, drink, tobacco	653	746	833	1 006	981	283	312	405	375	405
Raw materials	771	744	777	953	1 307	624	617	640	846	1 014
Mineral fuels, energy	636	708	713	860	1 703	156	133	148	182	223
Chemicals	756	813	916	1 030	1 421	347	384	436	553	958
Machinery and transport equipment	2 397	2 979	3 662	3 798	3 970	1 491	1 642	1 967	2 143	2 692
Other	2 475	2 716	3 146	3 842	4 641	3 288	3 494	3 883	4 399	5 821
By area:										
OECD countries	6 312	7 115	8 390	9 562	11 002	4 637	4 925	5 753	6 491	7 796
EEC countries	4 941	5 563	6 564	7 415	8 708	2 961	3 177	3 650	4 179	4 928
Germany	3 171	3 570	4 207	4 788	5 621	1 446	1 509	1 677	1 849	2 186
Italy	503	581	725	845	991	599	611	719	894	1 063
France	271	320	411	446	513	137	153	181	204	250
UK	521	576	609	594	596	379	472	583	645	711
EFTA countries[1]	879	1 015	1 148	1 381	1 525	1 132	1 224	1 428	1 545	1 938
Switzerland	568	645	729	855	962	642	735	864	930	1 112
USA	263	322	325	352	403	254	265	337	354	387
Other OECD countries	229	215	353	414	366	290	259	338	413	543
Non-OECD countries	1 377	1 591	1 658	1 927	3 021	1 552	1 658	1 726	2 007	3 317
Eastern Europe[2]	721	795	852	966	1 364	800	806	882	1 010	1 676
Africa	171	165	187	218	392	153	166	189	222	328
Latin America	201	202	206	214	231	86	117	122	110	201
Far and Middle East	143	246	283	376	854	194	233	254	290	482
Other	141	183	130	153	180	319	336	279	375	630
Index of volume (1961 = 100)	235	255	296	328	341	241	257	294	324	366
Index of average value (1961 = 100)	239	271	312	357	436	238	253	287	326	427

1 Including Finland.
2 Excluding Yugoslavia.

Sources: Statistics of Foreign Trade, OECD; Austrian Institute for Economic Research.

INTERNATIONAL COMPARISONS

				Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland
POPULATION		Mid-1973	Thousands	13 132	7 521	9 742	22 125	5 027	4 643 [2]	52 177	61 967	8 972	212	3 051
Net average annual increase		1963 to 1973	%	1.87	0.48	0.48	1.55	0.71	0.26	0.88	0.77	0.57	1.37	0.68
EMPLOYMENT	Total civilian	1973	Thousands	5 640	3 039	3 818	8 759	2 385	2 153	20 953	26 202	(3 320)	(88)	1 042
	Agriculture		% of total	7.2	16.1	3.9	6.5	9.5	17.1	12.2	7.5	(34.1)	(15.9)	25.1
	Industry [6]			35.5	40.1	43.3	31.3	33.8	35.7	39.3	49.5	(25.7)	(37.5)	30.7
	Other			57.3	43.8	52.8	62.2	56.7	47.1	48.5	43.0	(40.2)	(46.6)	44.2
PRODUCTION	GDP [7] per head	1973	$ [8]	4 900	3 550	4 650	5 410	5 460	3 720	4 900	5 610	1 790	4 870	2 130 [13]
GDP by sector:	Agriculture	1973	% of total	7.1 [9 10 11]	5.8	3.9	5.2 [11]	8.2 [11]	12.0	6.3	2.9	20.4 [11]	..	18.0 [11 13]
	Industry			41.4 [9 10 11]	50.1	40.1	36.2 [11]	39.9 [11]	44.2	93.7	52.1	32.4 [11]	..	33.8 [11 13]
	Other			51.5 [9 10 11]	44.1	56.1	58.6 [11]	51.9 [11]	43.8		45.0	47.2 [11]	..	48.2 [11 13]
GDP [7 14] annual volume growth		1973	%	5.6	5.5	5.4	6.8	3.9	6.0	6.0	5.3	9.4	6.2	7.2
		1968 to 1973		5.1	6.4	5.5	5.2	4.7	6.8	6.0	5.1	8.9	6.3	4.6
INDICATORS OF LIVING STANDARDS														
	Private consumption per head	1973	$	2 850	1 870	2 810	3 080	3 050	1 910	2 913	3 000	1 200	2 990	1 370
	Public expenditure on education	1970	% of GNP	4.3	4.7	5.4 [15]	8.6	7.0	6.3	4.7	4.0	2.2	4.3	4.8 [15]
	Dwellings completed, per 1 000 inhabitants	1972	Number	11.1	6.4	5.4 [17]	10.6	10.0	10.8	10.5	10.7	14.0 [10]	9.0	6.9
	Passenger cars, per 1 000 inhabitants	1971		314	177	212	321	231	163	260	239	30	222	140
	Television sets, per 1 000 inhabitants	1972		227	226	236	349 [10]	282	256	237	293	31 [10]	220	173
	Telephones, per 1 000 inhabitants	1972		340	226	240	499	377	295	199	268	160	370	114
	Doctors, per 1 000 inhabitants	1971		1.25	1.87	1.60	1.50	1.41 [12]	1.11	1.38	1.71 [12]	1.67	1.44	1.09 [15]
GROSS FIXED INVESTMENT [14]	Total	1968-72 average	% of GDP [7]	25.8 [9]	29.0	20.8	21.4 [18]	23.6	24.1	26.3	25.9	25.7 [19]	28.7	24.2
	Machinery and equipment			10.9	12.5	8.8	7.9	12.1	8.9	12.0	12.4	8.2	8.6	12.2
	Residential construction			5.2	16.5 [24]	4.7	4.4	4.6	5.8	6.5	5.2	8.0	5.3	4.3
	Other construction			9.7	— [24]	7.3	9.1	6.9	9.4	7.8	8.3 [25]	9.5	14.8	7.7
GROSS SAVING		1968-72 average	% of GDP [7]	25.9	29.3	24.9	22.3	19.1	29.8	26.8	27.5	23.8	..	20.8
PUBLIC SECTOR [26]	Total current revenue	1973	% of GDP [7]	28.2 [13]	36.6	35.8 [13]	36.2	44.8	39.0	38.0 [13]	41.0	26.6 [13]	33.2 [16]	33.7 [13]
WAGES/PRICES	Hourly earnings [27]	Annual increase 1967 to 1972	%	7.6 [28 29]	9.3 [30]	10.2	8.2 [28]	12.4 [31]	11.8	11.3 [32]	9.3 [28]	8.3 [28]	18.3 [33]	13.5 [28]
	Consumer prices			4.2	4.3	4.0	3.9	6.2	5.5	5.6	3.8	2.6	13.3	7.6
	GDP [7] deflator			5.8	4.4	4.6	4.0	6.4	6.5	5.5	5.2	2.9	17.2	9.3
FOREIGN TRADE	Imports [43]	1972	$ million [8]	6 180	6 290	14 570	23 130	6 080	3 680	32 070	51 150	2 530	300	2 240
			% of GDP [7]	13.2	30.9	40.9	21.8	28.6	27.4	16.4	19.9	20.7	39.5	40.6
	Exports [43]		$ million [8]	7 500	6 220	15 430	23 750	6 240	3 700	33 760	55 730	1 470	290	1 930
			% of GDP [7]	16.0	30.5	43.4	22.4	29.4	27.5	17.2	21.6	12.0	38.2	35.0
BALANCE OF PAYMENTS	Current balance	1968-72 average	% of GNP	–2.1 [9]	–0.4	2.5 [45]	0.0	–2.1	–1.2	–0.2	0.8	–3.6	–4.2	–3.3
Official reserves [44], end-1973: per cent of imports of goods in 1973			%	88.3	42.4	23.3 [45]	24.7	17.2	14.8	22.8	60.8	30.1	28.1	36.7
	Change	April 1974 - April 1975	Mill. SDR's	– 886	861	864 [45]	–709	–202	–203	993	–991	–93	–35	152
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES [48]		1973	% of GNP	0.55	0.52	1.10	0.93	0.70	— [49]	1.10	0.52	— [50]	— [49]	— [49]
EXPORT PERFORMANCE [51]	Growth of markets [52]	1972 to 1973	%	10	14	13	10	12	15	13.5	14.5	14	12	12
		1961-62 to 1971-72 (average)		9	9	9	8.5	8	7.5	8.5	8.8	9	8	7.5
	Gains or losses of market shares [53]	1972 to 1973	%	–12	–3	2.5 [45]	–1	–5.5	–10	–2	5.5	5	0	–6.5
		1961-62 to 1971-72 (average)		4.5	2	1.5 [45]	–2	–0.5	–0.8	1	1	1.5	2.5	0.5

				Italy	Japan	Luxembourg	Netherlands	New Zealand	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia [1]
POPULATION		Mid-1973	Thousands	54 888 [3]	108 350 [4]	350	13 438	2 932	3 961	8 564	34 730	8 138	6 431	37 930	56 026	210 404	20 960
Net average annual increase		1963 to 1973	%	0.70	1.22	0.77	1.17	1.46	0.77	–0.46	1.06	0.68	1.09	2.49	0.43	1.07	0.95
EMPLOYMENT	Total civilian	1973	Thousands	18 310	52 330	154	4 564	1 137	1 654	(3 109)	12 844	3 879	3 097	13 810	24 553	84 409	8 009 [5 10]
	Agriculture		% of total	17.4	13.4	9.0	6.8	12.1	11.4	(28.8)	26.5	7.1	(7.3)	63.4	3.0	4.1	49.5
	Industry [6]			44.0	37.2	48.6	36.2	34.7	33.9	(33.8)	38.0	36.8	(46.2)	15.1	42.3	31.7	50.5
	Other			38.6	49.4	42.4	57.1	53.2	54.7	(37.4)	35.5	56.1	(46.5)	21.5	54.7	64.2	
PRODUCTION	GDP [7] per head	1973	$ [8]	2 510	3 760	5 200	4 410 [13]	4 080 [9a]	4 780	1 250	1 750	6 140	6 190	540	3 100	6 170	792 [13]
GDP by sector:	Agriculture	1973	% of total	8.8	5.9	4.4 [11 12]	5.3 [11 13]	18.8 [12]	5.6	16.3 [11]	12.7 [11]	3.8	..	26.1	3.0 [11]	4.4	16.6 [11 13]
	Industry			41.2	48.3	57.5 [11 12]	44.9 [11 13]	28.0 [12]	33.4	43.2 [11]	35.5 [11]	36.6	..	28.8	42.4 [11]	33.9	46.6 [11 13]
	Other			50.0	45.9	38.1 [11 12]	49.8 [11 13]	53.2 [12]	61.0	40.6 [11]	51.8 [11]	59.6	..	45.1	54.6 [11]	61.7	36.8 [11 13]
GDP [7 14] annual volume growth		1973	%	6.4	11.0	7.5	4.2	4.8 [9a]	3.7	7.6	7.4	3.3	3.5	4.6	5.3	5.9	..
		1968 to 1973		4.3	9.5	5.2	5.3	3.1 [9a]	4.5	6.4	7.0	3.2	4.6	6.2	2.8	3.6	..
INDICATORS OF LIVING STANDARDS																	
	Private consumption per head	1973	$	1 620	1 910	2 780	2 430	2 410 [9a]	2 530	900	1 170	3 240	3 640	320	1 960	3 840	425 [13]
	Public expenditure on education	1970	% of GNP	4.3	4.1	4.4	7.3 [15]	4.4 [15]	5.9	2.0	2.4	7.8	4.2	2.9	5.5 [15]	5.4 [15]	4.3 [16]
	Dwellings completed, per 1 000 inhabitants	1972	Number	4.7	16.8 [17]	5.3 [12]	11.4	9.3	11.1	3.4	9.6	12.8	11.5	2.8	6.1	11.3	6.4
	Passenger cars, per 1 000 inhabitants	1971		209	100	296	211	324	206	72	81	290	233	4 [12]	219	443	42
	Television sets, per 1 000 inhabitants	1972		202	225	220 [10]	243 [10]	250	241	63	145	333	239	4	305	474	113
	Telephones, per 1 000 inhabitants	1972		206	315	361	299	458	320	99	164	576	535	19	314	628	44
	Doctors, per 1 000 inhabitants	1971		1.83	1.15	1.07	1.31	1.16	1.45	0.98	1.39	1.36 [12]	1.67	0.45	1.29	1.57 [12]	1.06
GROSS FIXED INVESTMENT [14]	Total	1968-72 average	% of GDP [7]	19.8	38.7	23.6	25.3	..	..	19.0	24.2	23.1	27.8 [20]	16.9 [21]	19.6	17.0 [22]	..
	Machinery and equipment			8.4	32.1 [23]	..	10.5	..	..	8.8	12.8	8.6	9.5	5.8	9.5	7.0 [22]	..
	Residential construction			5.9	6.6	..	5.7	..	..	2.7	3.7	5.0	7.1	3.3	3.5	3.5	..
	Other construction			5.5	— [23]	..	9.1	..	..	7.5	7.7	9.5	11.2	7.8	6.6	6.5	..
GROSS SAVING		1968-72 average	% of GDP [7]	22.9	39.3	31.3	26.9	24.9 [9a]	27.8	22.0	23.1	22.8	28.9 [20]	21.5 [21]	19.2	17.5	..
PUBLIC SECTOR [26]	Total current revenue	1973	% of GDP [7]	33.3	22.4	39.1 [13]	49.9	..	49.4	23.0	23.4 [13]	50.1 [13]	27.1 [15]	27.5 [13]	37.9 [13]	30.2	..
WAGES/PRICES	Hourly earnings [27]	Annual increase 1967 to 1972	%	11.2 [34]	15.6 [35]	..	10.4 [36]	10.3 [28]	10.0 [31]	10.2 [37]	12.6 [38]	9.9 [39]	6.5 [40]	12.8 [38]	9.6 [41]	6.0 [42]	16.1 [37 38]
	Consumer prices			3.9	5.8	3.9	6.2	6.5	6.1	8.6	5.8	5.0	4.3	10.5	6.6	4.6	11.3
	GDP [7] deflator			5.0	4.8	5.9	6.6	6.9 [9a]	..	4.3	6.0	5.2	6.0	10.5	6.6	4.4	..
FOREIGN TRADE	Imports [43]	1972	$ million [8]	23 600	24 910	1 050	20 100	1 980	5 810	2 630	7 250	9 590	9 710	1 400 [10]	33 620	74 830	3 820
			% of GDP [7]	20.1	8.5	77.8	43.4	23.1	38.3	32.2	16.2	23.2	32.6	10.9	21.8	6.3	23.2
	Exports [43]		$ million [8]	24 040	31 800	1 100	21 320	2 320	6 060	2 220	7 190	10 110	9 720	900 [10]	33 350	62 690	3 480
			% of GDP [7]	20.4	10.8	81.5	46.1	27.1	39.9	27.1	16.1	24.4	32.7	7.0	21.6	5.3	21.2
BALANCE OF PAYMENTS	Current balance	1968-72 average	% of GNP	2.1	1.7	—	0.3	1.4	–1.0	3.3	0.5	–0.1	1.3	–0.5	0.8	–0.2	..
Official reserves [44], end-1973: per cent of imports of goods in 1973			%	23.1	32.0	—	26.9	119.8	25.3	99.1	70.3	23.9	69.5	102.8	16.7	20.8	32.9
	Change	April 1974 - April 1975	Mill. SDR's	414	1 010	—	976	–115	79	–435 [46]	–340 [47]	41	406	–896	124	1 172	–57
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES [48]		1973	% of GNP	0.46	1.42	— [49]	1.03	0.35	0.49	2.25	— [50]	0.73	0.72	— [50]	0.76	0.58	— [50]
EXPORT PERFORMANCE [51]	Growth of markets [52]	1972 to 1973	%	13	14	—	13	10	13	12	13.5	13	14	14	14.5	20	..
		1961-62 to 1971-72 (average)		9	9	—	9	..	8	7	8.5	8	9	8.5	8.5	8	..
	Gains or losses of market shares [53]	1972 to 1973	%	–8.5	–8	—	5	–2.5	1.5	7	0	2	–5	5	–1	4	..
		1961-62 to 1971-72 (average)		3	8	—	1.5	..	2	4	5	–0.5	0	2.5	–3.5	–2.8	..

1 National source.
2 Does not include total net migration between Finland and the other Nordic countries.
3 Total resident population.
4 From 1972, including Okinawa prefecture.
5 Private and socialised sector.
6 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
7 GDP in purchasers' values.
8 At current prices and exchange rates.
9 Fiscal year-Beginning July 1st.
9a Fiscal year-Beginning April 1st.
10 1971.
11 GDP at factor cost.
12 1970.
13 1972.
14 At constant (1970) prices.
15 1969.
16 1968.
17 Dwellings started.
18 Excluding transfer costs of land and existing assets.
19 Excluding ships operating overseas.
20 1965-1969.
21 1967-1971.
22 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
23 " Other construction " included under " machinery and equipment ". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
24 " Other construction " included in " residential construction "
25 Including transfer costs of land.
26 General government.
27 Industry.
28 Manufacturing.
29 Males.
30 Monthly, wage earners.
31 Mining and manufacturing, males.
32 Hourly rates in manufacturing.
33 Hourly wages rates, unskilled workers.
34 Hourly rates in manufacturing, excluding family allowances.
35 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
36 Hourly rates in industry, males.
37 Monthly.
38 Manufacturing, including salaried employees.
39 Mining and manufacturing.
40 Hourly rates.
41 Hourly rates in manufacturing, males.
42 Manufacturing, gross earnings per production worker.
43 Goods and services, excluding factor income.
44 Including reserve position in the IMF and special drawing rights.
45 Including Luxembourg.
46 Feb. 1974 - Feb. 1975.
47 March 1974 - March 1975.
48 According to the DAC definition. Including flows to multilateral agencies and grants by voluntary agencies.
49 Not Development Assistance Committee member.
50 Considered as a developing country for purposes of DAC reporting.
51 Volume, percentage change. Figures are subject to many limiting factors. For an explanation see OECD Economic Outlook, simple definition, December 1970, pp. 65 and 69.
52 The growth which would have occurred in a country's exports if it had exactly maintained its share in total OECD exports to each of 19 broad geographical zones.
53 The difference between the growth rates of markets and exports.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Balance of Payments, Observer, DAC and Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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